Aligned A' Level Curriculum

Entrepreneurship

Paper 1 & 2

OCT
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2026

SEMINAR GUIDE

BUDDO SECONDARY SCHOOL
THE STRUGGLE CONTINUES

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BUDDO SECONDARY SCHOOL GRAND ALIGNED SECONDARY CURRICULUM SEMINAR SCHEDULED ON 3RD OCT 2026

OBJECTIVES OF THE SEMINAR.

- To sensitize Item takers on how to justify responses as per demands of UNEB requirements.
- To give Item takers general tips to guarantee excellence in entrepreneurship education.
- To educate item takers techniques of approaching and interpretation of scenario-based tasks.
- To share with Item takers common mistakes made in the financial management.
- To boost Item takers confidence in preparation for the end of cycle. assessment.
- To unpack the four elements of construct of entrepreneurship to item takers

PAPER ONE

SECTION A

Item 1

Aisha lives in Mbale City, where she operates a small maize-milling enterprise that processes, packages and supplies maize flour to shops, schools and households. Recently, demand for her products has increased, prompting her to acquire modern milling equipment and introduce changes in some of her production activities. She expects the improvements to increase the quality and quantity of maize flour produced and attract more customers.

However, some of her employees are unhappy with the changes because they fear that the new machines may reduce the need for labour and eventually cause some workers to lose their jobs. Aisha has also realised that she does not fully understand the business environment in which her enterprise operates.

Task:

a) Analyse the situation and propose ways Aisha should use to manage workers who are against new adjustments.
b) Educate her on the nature of the business environment which she is to operate in.

Item 2

Daniel has worked as a sales assistant at a retail business in Lira City for the past four years. He earns about Shs 450,000 per month, although his income is not always regular. His employer gives him limited opportunity to participate in making business decisions, and Daniel is uncertain about the security of his job. During his employment, he has managed to save Shs 2,500,000 and has gained considerable experience in selling footwear and other consumer products.

Daniel is considering leaving his employment to establish a small shoe-making enterprise in Lira City. From his experience as a salesperson, he has observed that students, workers and boda boda riders often look for footwear that is affordable and durable. He has identified a

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suitable workshop that can be rented at Shs 250,000 per month and has also located a supplier who can provide leather, soles and other materials.

However, Daniel is concerned about the amount of money required to purchase equipment and materials. He is also aware that the market has many low-priced imported shoes. In addition, he is uncertain about how he will obtain additional funds and meet the requirements for legally operating the enterprise. Before making a final decision, Daniel wants to know whether the conditions surrounding the proposed business will support its success.

Task

As a student of Entrepreneurship Education:

a) Assess Daniel's situation and advise him on the best decision to make.
b) Assess whether the business environment in Lira City is suitable for Daniel's shoe-making business.

Item 3

Sophia is a 24-year-old graduate who has started a small fruit juice enterprise in her community. She produces juice from locally available fruits and sells it to people in the neighbourhood and nearby workplaces. She has given her enterprise a distinctive name and uses social media platforms to share information about healthy living and interact with potential customers. She only deals in pure natural fruit juice and doesn't discriminate amongst her customers since she produces for all income groups. Though she does all that, very few people know about her business.

Although Sophia has put effort into producing quality juice and promoting her products online, only a small number of people know about her enterprise, and sales have remained low. She wants to make her business identity more recognizable and expand its customer base. However, she is not certain about the requirements she needs to meet before widely using and developing her chosen business identity.

Before starting the enterprise, Sophia studied the people living in the area. She found that most residents are young professionals who have busy lifestyles and prefer convenient and healthy beverages. She also noticed that the people differ in age, occupation and income. However, she is unsure how the environment will influence her decision.

Task:

a) Using the situation described, advise her on the law she should observe to establish and protect the identity of her enterprise.
b) Help Nalubega Sophia understand the environmental factors in the scenario that will influence her decision.

Item 4

Muzuuri runs a family-owned confectionery in Mukono Town producing bread, cakes, buns, doughnuts and samosas. He started it with his savings and contributions from family members. His wife and two children assist in the business, whose income supports the family's basic needs. Although his wife and children spend time supporting the business, they are unclear about the importance of their involvement and what they gain from it. Muzuuri is concerned about how the business can continue supporting the family while benefiting those involved. Muzuri employees both female and male employees but most of the times female employees

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are stopped by their husbands to engage themselves from income generating activities over different excuses. Helpless female employees need advocacy for their rights.

Muzuuri wants the enterprise to remain a source of income for the family and provide a suitable working environment for everyone involved. He has therefore asked you to help him and the affected workers find practical ways of dealing with the situation.

Task

a) analyse the situation and explain how their participation in the enterprise may affect the well-being of the household.
b) recommend strategies for advocacy to promote women outcry and rights.

Item 5

Makanga and his wife Eliana live in Nakifuma along Kayunga Road. In 2022, they started M.E Family Bakery. To increase the business capital, they sold some shares to their two sons, Angelo and Apollo. When the bakery expanded in 2024, they employed six relatives to help with different activities. As the family grew, problems developed in the business. Decisions take a long time, family members disagree over sharing profits, and there is no clear plan for who will take over the business in future. Makanga and Eliana also have limited management skills, and the business has no clear rules to guide its operations. They often resist changes that could improve the bakery.

The bakery has also received complaints from some people living near its premises because of smoke produced by its wood-fired ovens. In addition, most of the polythene bags used to package the products are thrown away by customers after use among other threats. During a discussion with other business owners, Makanga learns that continued use of the current production and packaging methods could create problems for the enterprise in future.

Makanga and Eliana are now considering how to run the bakery in a way that can remain useful to the family while responding to concerns from workers, customers and people living around the business.

Task:

Assess the situation and advise Makanga and his wife on how to minimize;

a) the family related issues in the business.
b) the threats of the business to environment.

Item 6

Kyarusozi Parish has many people who depend on farming and small businesses for income. Abooki and Abooli started Super Quality Goats Ltd, a goat-rearing business that has created jobs and improved people's livelihoods. After entrepreneurship workshops by Enterprise Uganda, more young people became interested in starting businesses. However, many have limited capital, skills and experience. They have heard that government programmes, financial institutions and other organisations support businesses, but they are unsure which organisations to approach and the type of support they can provide.

The parish also has a growing problem of plastic waste in homes, markets and along roads. The Youth Association wants to turn the waste into useful products, but members need financial, technical and business support. They are unsure which organisations can help them

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and how to approach them. Local leaders have asked the youth to find a way forward. They also want to understand how businesses such as Super Quality Goats Ltd contribute to development.

Task

a) justify the contribution of Super Quality Goats Ltd to the community and Uganda.
b) analyse the organisations that can support the growth of businesses in Kyarusozi Parish.

Item 7

Sarah, a trained fashion designer in Entebbe, has operated a small tailoring business for three years and has built a growing customer base. The business provides income for her family, although she sometimes works long hours and finds it difficult to meet some expenses. Recently, a clothing company in Kampala approached her with an opportunity that would provide a regular monthly income, paid leave and other benefits. NATU a close friend is advising her to take the new opportunity but Sarah is undecided.

His brother John operates a small Agro-processing business in Masaka, buying fruits from local farmers and producing packaged juice for nearby markets. The business has attracted customers, but John sometimes experiences delays when obtaining business supplies and moving products to distant markets. Changes in market prices, unreliable electricity and limited access to affordable finance also affect his operations. He has noticed that new businesses are entering the market, while some customers prefer cheaper imported products.

John is considering increasing production and reaching new markets, but he wants to understand the conditions surrounding his enterprise before committing more resources.

Task:

a) Using the knowledge acquired from the subject, help Sarah to make appropriate decision
b) Analyze the nature of the environment in the scenario and guide john to improve his business

Item 8

Amina is a young entrepreneur living in a rural trading centre in Uganda. She recently won the Young Entrepreneurs Challenge and received UGX 15,000,000 to start a business that can provide her with a steady income. Amina has identified two possible businesses. The first is a poultry farming business, producing eggs and broilers for sale to households in the area. The second is a boutique, selling clothes and other textile products to people in the trading centre and nearby villages. No other boutique currently operates in the area.

Amina knows that the area has many households engaged in agriculture, but she is not sure which of the two businesses will give her better returns. She is also concerned about customer demand, competition, availability of resources, social and cultural practices, location, operating costs and profitability.

A local business development officer has asked you to help Amina make an informed decision before investing her UGX 15,000,000. Amina must choose only ONE of the two proposed businesses either poultry farming or a boutique and justify her choice before investing her UGX 15,000,000.

Task

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Using your entrepreneurial knowledge and skills:

a) analyse the two proposed ventures and recommend the one Amina should undertake.
b) prepare a guide showing the steps Amina should follow to determine whether the selected venture is viable.

SECTION B

Item 9

Juma owns a metal welding workshop in Nsangi trading center, next to Stabex fuel station. Some of his finished products left are kept in one of the rooms at the premises. Money made out of sales are kept in the office with the cashier, who takes long to take to the bank. The business owns 3 delivery trucks used to deliver windows, door frames and other products to distant customers. Recently, one of his workers was cut by the machine while executing his duties and lost two fingers. Juma, He has also discovered that some employees receive cash from the customers and spend it for their personal use. Sometimes the machines break down and this delays production. The vehicle that distributes finished products frequently gets accidents and sometimes thieves rob the workshop during night hours.

He has been advised to protect his business against business risks through contacting relevant service provider but needs guidance about particular services he will enjoy in regards to the business challenges.

Juma also owns areal home estate ltd company as a strategy to boost his income in Mukono and he collects UGX.100,000,000 annually. He spent 70,000,000 on maintenance and security in the course of the year. However, the company has not remitted taxes to URA for the last 3 years yet the proprietor has less knowledge about how the computation is done.

Task.

a) identify the appropriate service provided to safeguard the business uncertainties.
b) using the tax rate of 30% and limit tax free allowance as 50% of gross rental, help Juma to compute and settle the tax dues.

Item 10

Montana operates a mattress factory in Mbarara Industrial Park. She imports raw materials and machinery from China through Mombasa Port. Her cashier sometimes travels by company vehicle carrying cash to Malaba Border to pay taxes. The factory, goods in transit, vehicle and cash face various risks, but Montana has no insurance cover. A friend advises her to obtain insurance cover. However, when she contacts an insurer, she is asked to provide information about her business and the risks to be covered. Montana does not know what information to provide.

The business is also planning to purchase a brand-new 2025-model lorry from abroad. The purchase price of the lorry is US$ 3,000, with the exchange rate for the vehicle cost being US$1 = UGX 3,650. The estimated marine insurance premium is US$ 200, converted at US$1 = UGX 3,700, while freight and other transport charges from the exporting country to Mombasa amount to US$400, converted at US$1 = UGX 3,600.
The vehicle is subject to import duty of 25% of cost, 18% Value Added Tax (VAT), 6% Withholding Tax (WHT) and Infrastructural levy of 1.5%. All these taxes are calculated on CIF. she is unable to determine the amount she will require to acquire the lorry and bring it into Uganda.

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Task

a) prepare a write-up showing the contents that Montana should present, as advised by her friend.
b) using the information provided, determine the CIF value, the applicable charges and the total amount payable to acquire the lorry.

Item 11

Kirabo runs a small juice-processing factory. For the past two years, the business has recorded good sales, but she has never registered it with the Uganda Revenue Authority or submitted tax returns. She records sales in a notebook and pays her workers in cash. Recently, Kirabo received a notice from URA concerning her business activities and unpaid taxes. Some suppliers have also stopped giving her goods on credit because she cannot provide a tax clearance certificate. She has further been warned that continued failure to meet her tax obligations could lead to enforcement action against the business and its property. Kirabo is surprised by these developments because she did not expect her business practices to affect its operations in this way.

Kirabo also bought a van to distribute juice to customers. One day, while the van was being used to deliver juice, it was involved in an accident. Kirabo reported what had happened and later approached the insurance company. The officer asked her to show when and where the accident occurred, who was driving the vehicle, how the accident happened, the extent of the damage, and proof that the vehicle belonged to her and was insured. Kirabo could not provide all the information requested and was unsure where to obtain some of it.

Task

a) examine Kirabo's situation and explain how her current practices may affect her business and its future operations.
b) from the events surrounding the accident, identify the evidence Kirabo would need to support her claim and how each piece of evidence would assist the insurer in handling the claim.

Item 12

Aryan Akiiki operates a juice-processing business in Kampala. His business has equipment, stock, a delivery vehicle and employees. Recently, a fire destroyed some equipment and stock, while two employees were injured. Before obtaining insurance, Aryan did not disclose that some of his equipment was old and had previously developed faults. He also insured property belonging to another business without having a financial interest in it.

After the fire, Aryan failed to take reasonable steps to protect the remaining stock from further damage. When making his claim, he demanded more money than the value of the actual loss. He also tried to receive compensation from two insurers for the same loss. After one insurer paid his claim, it wanted to recover the money from the person who caused the fire, but Aryan objected.

Aryan has also received several reminders from URA over unpaid taxes. He complains about high tax charges, unfair treatment of taxpayers and inadequate information from tax officials. As a result, he has lost confidence in the tax administration process and is reluctant to comply with his tax obligations.

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Task

a) explain the principles of insurance that Aryan may have breached and the steps he should follow to obtain suitable protection.
b) suggest measures URA could take to address Aryan's concerns and improve taxpayers' confidence.

Item 13

Koki Stores is a private limited company which processes and supplies coffee powder in greater Mbarara Region. They are planning to exploit the market beyond Mbarara Region by opening up branches in Kigezi Region and recruiting more workers to participate in packing and distribution. This requires additional capital and the proprietors are not willing to borrow but instead are turning the business into a Public Limited Company and selling shares to the members of the public to enjoy the benefits of listing a company on the Ugandan Securities Exchange. But the proprietors are not aware of the benefits.

The company is employing a number of categories of workers and their monthly salary earnings including allowances are shown as:

No	Category	No. of employees	Total allowances per month	Monthly Gross pay (shs) per month
1.	Cleaners	4	30,000	200,000
2.	drivers	2	20,000	300,000
3.	Company secretary	5	100,000	300,000
4.	Line managers	2	800,000	4,000,000
5.	Chief Executive officer	1	1,400,000	12,000,000

Below are the employment tax rates

Chargeable income	**Rate of tax**
Not exceeding UGX 235,000	Nil
Between UGX 235,000 and UGX 335,000	10% of the amount above UGX 235,000
Between UGX 335,000 and UGX 410,000	UGX 10,000 plus 20% of the amount above UGX 335,000
Exceeding UGX 410,000	UGX 25,000 plus 30% of the amount above UGX 410,000
Income above UGX 10,000,000	Additional 10% on the amount above UGX 10,000,000

However, their newly recruited cashier cannot ascertain the tax liability of each category.

Task

As an entrepreneurship student, guide the proprietors of Koki Stores in:

a) Justifying their decisions for going public.
b) Compute Koki Stores Ltd's monthly tax liability to Uganda Revenue Authority.

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Item 14

Mariam Investments **Ltd** is a growing business in Kampala that sells construction materials. The business has received opportunities to open branches in other towns, but its current funds are not enough to meet the expansion costs. Mariam wants to raise long-term funds through the capital market, but she does not know which financial intermediaries can connect the business with people and organisations that provide funds.

Mariam also owns rental houses in Kyengera, Kyanja and Entebbe. She is unsure whether to register the houses in her individual name or under the company. She has been advised that the tax treatment may differ depending on how the houses are registered. A URA official explains that the rental expenses can be considered when the houses are registered under the company, while individual rental tax is based on the rental income.

In 2025, the houses earned rental income of UGX 250,000,000, UGX 400,000,000 and UGX 450,000,000 respectively. The company incurred total rental expenses of UGX 280,000,000.

The company also bought furniture for UGX 80,000,000 and sold it for UGX 120,000,000, with both amounts being VAT inclusive. Its taxable profit before corporation tax was UGX 90,000,000. Mariam now needs to make the right decisions and prepare the relevant tax information.

Use: Individual rental tax 12%, company rental tax 30%, VAT 18%, corporation tax 30%.

Task

a) from the expansion challenge facing the business, identify the organisations that Mariam could approach to connect her business with providers of long-term funds.
b) using the information provided, advise Mariam on the alternative she should consider when registering the rental houses.
c) calculate the relevant VAT on the furniture transaction and the corporation tax payable.

Item 15

The management of Dimazima Enterprise, Gulu, has experienced rapid growth in demand for its products. The enterprise intends to expand its operations by constructing modern production facilities; however, the business does not have sufficient funds to finance the expansion. During the annual board meeting, the directors discussed various sources of long-term finance. A financial consultant advised them to consider raising funds through capital markets. The consultant advised them to contact players that support capital markets to mobilize funds for business growth and get to know the process or procedures of selling shares on stock market.

The enterprise deals in the importation and sometimes exportation of sugar. During the month of January 2026, the enterprise imported 1,000 bags of sugar from the UAE (50 kg each). The cost of the sugar was 1 USD = 3,500 UGX per bag equivalent / base price. The cost of transporting sugar from UAE to Mombasa was 500 USD and the insurance cost was 400 USD. From Mombasa to Kampala, the freight was an additional 200 USD.
The import tax rates for sugar were as follows:
Import duty: 20%
Excise duty: 25%
VAT: 18%

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WHT: 6%
The exchange rate was 1 USD = 3,700 UGX.
Note: The tax is computed based on Cost, Insurance, and Freight (CIF). The freight value considered is up to Mombasa.
Task As a student of entrepreneurship education:
a) Guide management on the above process.
b) Using the above information, compute the tax payable by the enterprise to URA customs.

Item 16
Abby is a company manager that works with Tuzimbe construction company that deals in the construction of commercial buildings in major towns in the country. He has accumulated savings to a tune of Ugx 30,000,000. While listening to UBC news, he learnt that DICO Company, a listed company by Capital Market Authority is selling shares each at Ugx 1,000 and with the minimum number of shares for purchase being 100 shares. This looked a golden opportunity because his elder brother Musa had some time back discussed about it. However, his mother has advised him to invest the money in securities issued by the Central Bank in the country because they are largely safer and have many benefits associated with them. Abby is now confused on the investment decision to make and therefore needs your intervention.

Closely related to the above, URA discovered that the construction company does not record its profits, expenses and has no information given to the tax authority. It lacks a Tax Identification Number that is offered by the authority for purposes of tax assessment and collection. The company has never paid any single tax. Abby has been advised by URA officials to follow the right procedure to obtain the required tax identification number and then start to pay the taxes.

Task
Using your entrepreneurial skills,

a) Assist Abby to choose between the two investment decisions.
b) Guide the company directors on the right procedure to follow as advised by URA.

PAPER 2

SECTION A (COMPLUSORY)

Cash flow statement and production in an enterprise

Item 1
Kato Fresh Juice Ltd is a growing juice-processing business located in Fort Portal City. The business produces mango, passion-fruit and pineapple juice and supplies supermarkets, schools, restaurants and retail shops in Fort Portal and nearby areas. Due to increasing demand for its products, Kato plans to expand the business to nearby towns by doubling its production capacity. However, he is uncertain about the amount of money required and how the expansion can be managed without creating cash shortages.

In September 2026, URA officials visited the business as part of their tax assessment activities. They advised Kato to prepare a statement showing the movement of cash into and out of the business for the months of September, October and November 2026. The statement would

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help the business assess its ability to meet its financial obligations and support the planned expansion.

Kato's business records contained the following information:

- The business had UGX 15,000,000 cash at the beginning of September 2026.
- In September 2026, the business sold 4,000 litres of juice at UGX 7,500 per litre and litres are expected to increase by 10% in Oct and 5% in Nov 2026.
- The business collected UGX 6,000,000 from credit customers in September, and expects to collect UGX 7,000,000 in October and UGX 8,000,000 in November.
- In September 2026, the business paid UGX 15,000,000 for fruits and other raw materials. In October and November, payments for raw materials are expected to be UGX 16,000,000 and UGX 17,000,000 respectively.
- Tenants are expected to pay UGX 34,000,000 in November 2026 in respect to rent.
- Wages are expected to amount to UGX 6,500,000 in October and UGX 7,000,000 in November.
- At the beginning of September, the business had 10 workers. Each worker was paid UGX 600,000 per month. However, two workers left the business at the end of September.
- On 15 September 2026, Kato received a business loan of UGX 4,000,000. The lender charges interest at 1% per month on the outstanding loan balance. Kato paid UGX 2,000,000 towards the loan principal in September and plans to pay UGX 1,000,000 in October and UGX 1,000,000 in November, together with the applicable interest.
- Electricity and other operating expenses are estimated at UGX 3,000,000 per month.
- In November 2026, the business plans to purchase a modern juice-processing machine for UGX 6,000,000 to support the planned expansion.
- The bank assured him that any other deficit will still be offset by getting another loan from their bank branch in Kampala central business town.
- The business received a building valued at UGX 20,000,000 as a donation to support its operations. No cash was paid or received in relation to the building.

Kato is not competent in preparing the statement required by the URA officials and seeks your assistance.

Task

a) Write a report to guide Kato on how he can achieve the planned expansion of Kato Fresh Juice Ltd.
b) Prepare for Kato the statement to be presented to URA officials.

Item 2

Mugisha Bakers Ltd is a large-scale bakery business operating in Mbarara City. The business buys locally produced wheat flour, sugar, milk, cooking fat and other ingredients and processes them into different bakery products, including Raha Bread. It supplies supermarkets, schools, restaurants, hotels and retail shops in Mbarara and neighbouring areas. A loaf of Raha Bread sells at UGX 5,000. Although demand for the bakery products is high, the business faces rising production costs because some raw materials are obtained from distant suppliers. Electricity costs are also increasing, while production workers demand higher wages and other overhead costs continue to rise. Management wants to control these costs before expanding the business.

The business plans to open a new branch in Ntungamo. To support the expansion, management intends to obtain a loan from a commercial bank. The bank manager has

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requested a statement showing the financial needs of the business, including its production and overhead costs, but the managing director has failed to prepare it.

However, the cashier who prepared the initial estimates went on leave before completing the cash-flow budget. The following information is available for the first quarter of 2026:

- At the beginning of January 2026, the business has UGX 8,000,000 cash in hand.
- During January, the business expects cash sales of UGX 24,000,000. Cash sales are expected to increase by UGX 3,000,000 in February and by another UGX 3,000,000 in March.
- In January, the business expects to collect UGX 6,000,000 from credit customers. Collections are expected to increase to UGX 7,000,000 in February and UGX 8,000,000 in March.
- At the beginning of January, the business receives UGX 20,000,000 from a bank loan to support its operations and the planned branch expansion.
- The business buys a delivery vehicle for UGX 15,000,000 in January and pays the full amount immediately.
- In February, the business sells some old bakery equipment for UGX 3,500,000 and receives the money immediately.
- Flour, sugar and other production materials are purchased on credit at UGX 9,000,000 per month. The business pays 80% in the month of purchase, while the remaining 20% is paid in the following month.
- Electricity and other utility expenses are UGX 2,400,000 in January. Due to efforts to reduce wastage, these costs fall by 5% each month.
- Salaries and wages are UGX 6,000,000 in January and reduce by 5% each month after management introduces more efficient production methods.
- The business pays UGX 1,800,000 per month for transporting and distributing bakery products to customers.
- In March, the business buys a commercial baking oven for UGX 6,000,000 to increase production capacity. The supplier requires 50% payment immediately, while the remaining 50% is paid in April 2026.
- The managing director takes bakery products worth UGX 600,000 each month from the business for home consumption.
- Repayment of the UGX 20,000,000 loan starts in February. The principal is repaid in four equal monthly instalments. Interest is charged at 5% per month on the outstanding loan balance.
- The business also pays UGX 1,200,000 per month for other operating expenses.

Management wants to establish whether the business will have enough cash to meet its operating expenses, loan obligations and expansion requirements during the first quarter of 2026.

Task

Using your entrepreneurship knowledge, help Mugisha Bakers Ltd to:

a) Generate strategies for overcoming the major challenges faced by the business.
b) Estimate the financial requirements of the business to support its application for the loan facility.
c) Make a budget to analyses the flow of cash for the planned period

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Final accounts, financial ratios and production in an enterprise

Item 3

Okello operates a small maize-milling enterprise in a busy rural trading centre. The business purchases maize grain from farmers and processes it into maize flour for sale to households, schools and retail shops in the surrounding communities. Recently, the enterprise has experienced a decline in sales because customers have raised concerns about the quality and consistency of its maize flour. The decline in customer demand has reduced the revenue and profitability of the business.

To improve the quality of his products and expand operations, Okello intends to obtain additional working capital. He has therefore applied for a loan from Cente Bank. The bank has requested financial statements for the previous trading period to assess the financial performance and position of the enterprise before considering his loan application.

The following information was extracted from Okello's business records for the trading period ended 31 December 2025:

Particular	Amount (shs)
Capital	16,000,000
Sales	31,000,000
Purchases	18,400,000
Opening stock	9,000,000
Furniture	5,800,000
Machinery	10,000,000
Salaries and wages	2,300,000
Cash at hand	7,800,000
Creditors	2,200,000
Sales returns	1,000,000
Purchases returns	400,000
Closing stock	8,000,000
Discount received	800,000
Insurance	1,300,000
Debtors	2,600,000
Drawings	2,000,000
5-year loan	8,000,000
Mortgage	1,800,000

However, Okello has limited knowledge about methods of maintaining consistent maize-flour quality. He also lacks the accounting skills needed to prepare financial statements that can show the profitability and financial position of his enterprise.

Task

a) Develop strategies that Musoke can use to address the challenges in the products of his business
b) Prepare financial statements for Musoke to present to the bank.

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Item 4

During a field study at Mbogo Maize Millers in Kyazanga Town Council, students learnt that the business operates two branches, Kyazanga Branch and Masaka Branch. The branches buy maize grain from farmers, process it into maize flour and supply households, schools, restaurants and retail shops. The production manager explained that the business faces challenges in managing stock. During harvest seasons, large quantities of maize grain are bought and stored when prices are favourable. However, when demand falls, some stock remains unsold, leading to high storage costs, deterioration and losses. Management therefore wants the branch managers to improve stock management.

The CEO also explained that the branch managers are responsible for improving the financial performance of their branches. The business plans to award performance bonuses based on the financial performance of each branch. However, the accountant responsible for analyzing the branch records travelled to Boston, USA, on leave. Since the CEO needs the analysis urgently, students were given the following financial information for the year ended 31 December 2025.

MBOGO MAIZE MILLERS
SUMMARISED INCOME STATEMENTS
FOR THE YEAR ENDED 31 DECEMBER 2025

Details	Kyazanga Branch (Shs)	Masaka Branch (Shs)
Sales	100,000,000	200,000,000
Less: Cost of sales	45,000,000	92,000,000
Gross profit	55,000,000	108,000,000
Less: Operating expenses	25,000,000	78,000,000
Net profit	30,000,000	30,000,000

MBOGO MAIZE MILLERS
SUMMARISED STATEMENTS OF FINANCIAL POSITION
AS AT 31 DECEMBER 2025

Details	Kyazanga Branch (Shs)	Masaka Branch (Shs)
Inventory	15,000,000	30,000,000
Trade receivables	10,000,000	25,000,000
Cash and bank balances	5,000,000	15,000,000
Prepaid rent	5,000,000	10,000,000
Non-current assets	60,000,000	139,000,000
Total assets	**95,000,000**	**219,000,000**
Trade payables	12,000,000	30,000,000
Short-term loan	8,000,000	21,000,000
Outstanding expenses	4,000,000	10,000,000
Long-term liabilities	5,000,000	10,000,000
Capital at year end	66,000,000	148,000,000
Total equity and liabilities	**95,000,000**	**219,000,000**

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The CEO needs the analysis urgently because the branch managers are waiting for their performance bonuses, while the accountant remains away on leave.

Task

a) Guide the management on the best practices to ensure right stocking and the need for that.
b) Based on your analysis, advise the CEO on which branch manager should receive the performance bonus, giving clear financial reasons for your recommendation.

SECTION B

Marketing and Human resource in an enterprise

Item 5

Sarah owns a fashion boutique in one of the busy streets near Makerere university. Sarah's customers are mainly university students and professionals. Sarah used to purchase and sell clothes to the customers according to their preferences. This made Sarah's customers loyal and the business grew rapidly. However, recently sales gradually started declining, customer options changed, among others.

Customers raise complaints about poor quality cloth materials which is highly priced and profits have greatly declined. Out of frustration Sarah has decided to chase away all the workers and recruit new sales assistant to boost the marketing team and also plans to collect more information about her current and potential customers to serve them better-done is seeking guidance on how to recruit appropriate and suitable employees and to collect information about her customers.

Task

Prepare a

a) Criteria for getting the required personnel
b) tool for collecting information about customers.

Item 6

Muto Electrical Shop is a business located in Mukono town and owned by Mr. Muto. The shop sells all electronics and phone accessories. Recently, the business has been facing serious operational challenges. Many employees have been resigning after working for only a short period. Some workers complain about long working hours, low wages, poor communication with management with no lunch provided. As a result, the business frequently recruits new workers which has increased training costs and reduced customer service efficiency.

At the same time, sales have started declining because customers are not fully aware of new products stocked in the shop. Mr. Muto wants to create awareness about his business products but is not sure of which means to reach out to his customers.

Task:

Using the entrepreneurial knowledge and skills acquired during operational activities:

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a) Recommend appropriate strategies to address and minimize the undesirable behaviours demonstrated by Muto's employees.
b) Advise Mr. Muto the criteria he should consider when choosing the suitable means to reach out to his customers.

Item 7

Hassan sportswear is a clothing brand that manufactures and sells athletic wear. For the last 3 years, they have sold the same range of T-shirts, shorts and the truck suits to everyone through one online store and a single shop in the city center. Recently, sales have slowed down. Customer feedback shows different groups want different things.

University students say the prices are too high and designs look too plain, old and work professionals say the clothes are affordable but not durable enough for regular gym use and the sizes don't fit well yet women complain that there is no modest option for them. The marketing manager advised the owner to adjust from selling similar products to similar groups but the owner is unsure of the need for such a move.

In addition, the enterprises recently acquired new machines. However, several employees are finding it difficult to operate the machines effectively. This has resulted in frequent production errors, wastage of resources, delay in delivery and increased customer complaints about quality in the market.
Faced with declining enterprise performance, Hassan has been advised by business consultants to prepare his employees to handle new machines but she is undecided.
Task
Using entrepreneurial skills and knowledge acquired in school
a) Justify why Hassan should analyse customer and competitors' information before making business decisions
b) Critically examine why Hassan ought to get on the recommendations of the business consultant.

Item 8

Kamoddo is operating a furniture manufacturing enterprise in Mbale City known as BAGISHU FURNITURE LTD that supplies furniture to Offices, Hospitals, Households and Schools with in Mbale City which has maximized profitability and sustainability of the business. The Director has plans of establishing 4 more branches in nearby districts and has presented his business plan to MKH Bank to access a loan of Ugx 50,000,000. The loans officer has required for an overview of the plan since he has less time to go through the entire plan.
However, he fears stiff competition with already established furniture businesses in the new locations and lacked clear framework to guide him on how to maintain customer loyalty for sustainability of the new branches.
Task;
a) Design a plan that Kamoddo will present to the loans officer showing the amendments requested.
b) Propose approaches the enterprise can use to strengthen its position and withstand pressure from other businesses in the new location.

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Item 9

Bright Future Bakery in Mukono produces bread, cakes, and doughnuts for schools, shops, and supermarkets. In recent months, many experienced workers have left the business because of low salaries, poor working conditions to mention but a few. As a result, the bakery has spent more money recruiting and training new workers. This has increased production costs, reduced efficiency, and affected the quality of some products.

During a staff meeting held to find solutions to these challenges, some workers said that increasing product prices might cause customers to buy from other bakeries selling similar products at lower prices. Instead, they suggested using sales promotion methods such as giving free samples of new products, offering discounts, giving bonus packs, and rewarding regular customers among others. They believed that these methods could attract more customers, increase sales, and improve profits.

The owner wants to find ways of reducing the frequent movement of workers in and out of the bakery and is also considering whether the workers' suggestions can help improve the performance of the business.

Task

a) recommend measures that could help the bakery overcome the workforce-related challenges
b) guide on suggestions made by workers during the staff meeting.

Item 10

Moses Wholesalers has been one of the leading wholesale businesses in Arua City. However, the business has experienced a significant decline in sales and profits due to a reduction in the number of customers. The business has also experienced a large-scale exit of employees. To ascertain the causes of these problems, Moses administered questionnaires to customers and employees.

The findings from the customers indicated that many customers were not aware of the products and services offered by the business. The employees, on the other hand, reported that their efforts were not appreciated, they were rarely involved in making key business decisions, and some employees were suddenly terminated from employment. Moses is concerned about the situation and wants to address the issues raised by both customers and employees in order to improve the performance of the business.

Task

a) Using the findings from the customers, advise Moses on measures he can take to attract and retain customers and improve the performance of the business.
b) Based on the concerns raised by the employees, suggest measures Moses can introduce to improve employee motivation, participation and retention.

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Business planning and coping with competition

Item 11

Mirade operates a successful Clinic and maternity home in Soroti city that serves surrounding rural communities aiming at improving the health of community members through providing them quality medical services.

Recently two modern corporate diagnostic centers were opened in the centre of the town offering digital scanning services and other cheap medical services. Miracle's patient visits have significantly dropped since they are now visiting other competitors.

Mirade now plans to secure a loan from a bank to upgrade her services as well. However, the bank's manage needs a document that clearly describes the business and at the same time, she wants to design a strong competitive strategy that will help her clinic to survive the market invasion and retain its patient base.

Task

Using the entrepreneurial skills and knowledge acquired from your business club

a) Recommend to Mirade an appropriate document needed by the bank's manager.
b) Design for her relevant strategies that should be used by her to cope up with the situation.

Item 12

Otim operates a small poultry enterprise in Kampala. In recent years, the business has experienced steady growth and attracted many customers from nearby communities. Encouraged by this success, Otim intends to sustain the enterprise by increasing production and supplying larger markets. However, he has not prepared a roadmap to clearly outline the goals, the resources required, expected costs and revenue, or the e strategies for achieving future growth.

At the same time, several new poultry enterprises have been established in the area. These businesses offer similar products, sometimes charge low prices and use various promotional methods to attract customers. Consequently, Otim has noticed changes in customer preferences, fluctuations in sales and increased pressure to improve the quality and pricing of his products.

Otim is seeking guidance in how to manage the enterprise effectively and respond the challenges arising from presence of many businesses offering similar products and services.

Task

Using your knowledge and kills acquired in the entrepreneurship,

a) recommend to Otim why he should develop a clear roadmap for the future growth of enterprise.
b) assess the effects of the presence of many rival businesses to Otim poultry.

END

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BREAK DOWN OF THE CONSTRUCTS AND THE SYLLABUS

No.			Content breaks down
1.	**Construct 1** Exploring entrepreneurial investment opportunities for development	**Topic 1** Introduction to entrepreneurship	• Meaning of entrepreneurship and related general entrepreneurial concepts such as attributes, role of entrepreneurship etc. • Self-employment versus paid employment. • Coping with change • Negotiation skills • Creativity skills • Innovation skills • Entrepreneurial motivation • Business ethics skills • Personal branding
2.	**Construct 1** Exploring entrepreneurial investment opportunities for development	Topic 2 Entrepreneurial environment	• Meaning of entrepreneurial environment • Characteristics of entrepreneurial environment. • Types of entrepreneurial environment and their influence on entrepreneurial activities. • Organizing supporting entrepreneurial activities in Uganda.
3.	**Construct 1** Exploring entrepreneurial investment opportunities for development	**Topic 3:** Business ideas and opportunities	• Sources of business ideas. • Reasons to generate business idea. • Factors considered when determining profitability and selection of a business idea. • Procedures followed when evaluating profitability of a business opportunity. • Characteristics of a good business opportunity. • Types of business opportunities. • Steps followed when turning a business idea into a business opportunity.
4.	**Construct 2** Managing a business for sustainability	**Topic 4:** Business planning	• meaning of a business plan. • rationale for writing a business plan. • Components of a business plan and their practical preparation. • steps followed when preparing a business plan. • challenges of implementing a business plan
5	**Construct 2** Managing a business for sustainability	**Topic 5:** Production in an Enterprise	• the types of products produced by businesses • the production process of a selected product. • Factors affecting production decisions in business. • the concept of purchasing business requirements • factors to be considered when purchasing raw materials

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			• steps to be followed in purchasing business goods and services • inventory management • the concept of technology. • types of technology. • characteristics of appropriate technology. • factors that influence the choice of technology in business. • factors considered when selecting machinery, equipment, and tools for a business. • ways of ensuring proper machine use, maintenance, and handling in a business. • Mechanisms for controlling business assets • Ways of ensuring the production of quality products in business • advantages of good time management and disadvantages/costs of poor time management. • ways of ensuring effective time management in business. • identify the production requirements and costs for a selected product and prepare a production budget. • measures to minimize production costs. • Packaging concept and preparation of a packaging label
6	**Construct 2** Managing a business for sustainability	**Topic 6:** Marketing in an enterprise	• Components of marketing mix. • Potential market • Target market • Market segmentation • Creative selling • Distribution channel • Sales promotion • Advertising with all the documents used in advertising including signpost, fliers etc.
7	**Construct 1** Exploring entrepreneurial investment opportunities for development	**Topic 7:** Social entrepreneurship	• Meaning of social entrepreneurship • Types of social enterprises. • Characteristics of social enterprises. • Importance of social entrepreneurship. • Steps followed to become a social entrepreneur. • Impacts of social enterprises. • Preparation of social enterprise plan and theory of change. • Threats caused by business on natural environment and strategies to manage these threats. • GEPIC structure
8	**Construct 1**	**Topic 8:**	• concepts of small and medium enterprises

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	Exploring entrepreneurial investment opportunities for development	Small and medium Enterprises (SMEs)	• Roles of SMEs • Reasons for high rate of failure of SMEs and solutions. • Family businesses. • Gender in entrepreneurship
9	**Construct 3** supporting business for sustainability	**Topic 9:** Insurance in Business	• Common terms used in insurance business. • Types of insurance policies. • Principles used in insurance • Importance of insurance. • Steps followed to acquire an insurance contract / policy. • steps to claim for compensation. • Documents used in insurance. • Challenge facing insurance and solution.
10	**Construct 3** supporting business for sustainability	**Topic 10** Capital markets	• Role of capital markets • Key players of capital markets • Steps followed to access investment products in capital markets. • Benefits of engaging in investment products. • Benefits of listing a company. • Capital raising options which include; a) Government bonds b) Corporate bonds c) Shares etc.
11	**Construct 2** Managing a business for sustainability	**Topic 11** Human Resources in an enterprise	• Elements of HRM • Factors considered when deciding on the type and number of employees. • Sources of recruiting employees. • Steps followed when recruiting employees. • Job description and specification • Methods of paying workers and factors that determine workers payments. • Measures of reducing labour turn over in an enterprise • Rationale and methods of training workers • Effectiveness and strategies of motivation/remuneration/employee performance appraisal **NB**: Learners should be exposing to documents used in HRM
12	**Construct 2** Managing a business for sustainability	**Topic 12**: Finance in an enterprise	• Preparation of a cash flow statement/cash budget. • Preparation of financial statements like income statement, balance sheet. • end of year adjustments e.g. prepayments, outstanding, depreciation and provisions etc.

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			• computing financial ratios and their interpretations e.g profitability, efficiency, liquidity and solvency ratios
13	**Construct 3** supporting business for sustainability	**Topic 13** Taxation	Terminologies used in taxation; • Principles of taxation. • Types of taxes • Tax compliance • Role of URA • Rights and duties of a tax payer. • Computation of different taxes and these include; • Domestic taxes like; a) Corporation tax b) PAYE/employment/ Income tax c) Presumptive tax d) Rental income tax e) Withholding tax f) Value added tax (VAT) • Computation of international trade taxes, these include; a) Import duty b) Excise duty c) VAT d) Withholding tax e) Environmental levy f) Infrastructural levy
14	**Construct 2** Managing a business for sustainability	**Topic 14** Business competition	• Meaning of business competition • Types of business competition • Factors considered when analyzing business competition. • Effects of business competition. • Ways to manage business competition.

PAPER 1

Item 1.

a) Ways Aisha can manage workers who are against the new adjustments

- **Communicating with workers**. Aisha explains why the new machines and production changes are being introduced. This helps workers understand the benefits and reduces fear of job losses.
- **Involving workers in decision-making**. Aisha allows workers to give their views about the new machines and production activities. This makes them feel valued and increases their support for the changes.
- **Providing training**. Aisha trains workers to operate and maintain the new milling machines. This gives them new skills and enables them to remain useful to the enterprise.
- **Assuring workers of job security**. Aisha explains how workers will be affected by the changes and avoids unnecessary termination. This reduces fear and resistance among employees.
- **Redeploying affected workers**. Aisha's Workers whose duties change are given other responsibilities, such as packaging, quality control, machine maintenance or distribution. This helps the business retain experienced workers.

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- **Introducing gradual changes.** Aisha introduces the new machines and production changes step by step. This gives workers time to adjust to the new way of working.
- **Rewarding workers.** Aisha recognises workers who support and successfully use the new machines. This motivates others to accept the changes.
- Improving working conditions. Aisha provides a safe working environment and appropriate protective equipment when workers operate the new machines. This increases workers' confidence in the changes.

b) Nature of the business environment in Mbale City

- Resource scarcity. Some resources needed by Aisha's maize-milling enterprise are limited or expensive in Mbale City. Modern milling machines and skilled machine operators may be costly to obtain, requiring Aisha to use available resources carefully.
- Opportunity orientation. Mbale City provides business opportunities that Aisha can use. The increased demand for maize flour from shops, schools and households gives her an opportunity to increase production and attract more customers.
- Uncertainty. Business conditions in Mbale City can change unexpectedly. Changes in the supply and price of maize, customer demand and competition may affect Aisha's production and sales.
- Flexibility. The business environment in Mbale City keeps changing. Aisha needs to adjust her production methods, train workers to use new machines and introduce other flour products when customer needs change. **Example:** if Aisha realizes that customers no longer buy maize flour, she should come up with production of other related products such as millet flour, soya flour among others.
- Informality: Many businesses in Mbale City may operate without formal registration. Aisha needs to understand this situation and formally register her maize-milling business to gain customer confidence and access opportunities such as supplying schools, shops and other institutions.
- Competitiveness: Mbale City has several maize-milling businesses competing for customers. Aisha needs to improve the quality of her maize flour, maintain reasonable prices and provide good customer service to attract and retain customers.
- Complexity: Aisha's business environment involves many factors such as customers, suppliers, competitors, workers, technology and government requirements. She needs to understand these factors and create awareness of her products through suitable advertising so that customers in Mbale City know her business.

Item 2

a) Assessment of Daniel's situation and advice

Starting his own shoe-making business can give Daniel several benefits:

- Gaining personal satisfaction. Daniel becomes his own boss and controls the shoe-making business instead of having limited involvement in decisions at his current workplace.
- Earning unlimited income. Daniel's income can increase as the shoe-making business grows, unlike his current income of about Shs 450,000 per month.
- Creating wealth and profits. A successful shoe-making business can give Daniel profits and allow him to employ other people in Lira City.
- Gaining community recognition. Becoming a shoe manufacturer in Lira City can increase Daniel's recognition and respect in the community.
- Building self-confidence. Managing the business successfully helps Daniel develop confidence in making business and production decisions.

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- Promoting creativity and initiative. Daniel can develop different shoe designs that meet the needs of students, workers and boda boda riders.
- Gaining job security. As the owner, Daniel cannot be dismissed from his own business. This reduces the job insecurity he experiences in his current employment.
- Making independent decisions. Daniel can quickly decide on prices, shoe designs, suppliers and production without waiting for his employer's approval.
- Providing footwear to the community. His business increases the availability of affordable and durable footwear for people in Lira City.
- Controlling his work schedule. Daniel can organise his working time according to the needs of his business instead of depending on his employer's working schedule.

b) **The following are the factors which will support business Daniellas business.**

- Availability of raw materials. Lira and the surrounding areas provide access to leather, while materials such as glue, nylon and threads are available from local suppliers. This enables Daniel to obtain materials needed for making shoes.
- Availability of tools and machinery. Shoe-making equipment such as sewing machines, hammers, scissors and lasting tools is available from suppliers. This enables Daniel to set up the workshop and begin production.
- Availability of skilled and affordable labour. Lira City has young people with technical and vocational skills who can be employed in shoe making. Daniel can therefore obtain workers at a manageable labour cost as the business expands.
- Presence of financial institutions. Banks, microfinance institutions and SACCOs in Lira provide financial services and possible sources of additional capital. This can help Daniel meet equipment and working-capital needs beyond his Shs 2,500,000 savings.
- Availability of business premises. Lira City has commercial spaces suitable for workshops and retail outlets. Daniel can therefore obtain a workshop at a manageable rent and operate the production and selling activities.
- Availability of utilities. Electricity and water services support shoe production and other workshop activities. This enables Daniel to operate machinery and maintain suitable working conditions.
- Increasing demand for footwear. Students, workers and boda boda riders in Lira need affordable and durable footwear. This provides Daniel with a potential market for his locally made shoes.
- Good transport network. Roads connecting Lira City to surrounding areas facilitate the movement of leather and other materials into the workshop and distribution of finished shoes to customers.
- Political stability. A stable business environment allows Daniel to operate with fewer disruptions and protects business activities and assets from unnecessary interruptions.
- Favourable government support for local products. Government initiatives that promote locally made products can create opportunities for Daniel to produce and market locally manufactured footwear.

Item 3

a) Tunde Shirah should observe the following core laws to have a unique brand that will attract many customers

Principles Sophia should observe to build a strong business identity

- Specialization. Sophia focuses on making pure natural fruit juice. This helps people know her business for healthy and natural drinks.

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- Leadership. Sophia takes the lead in starting and managing the juice business. She also uses social media to teach people about healthy living and promote her products.
- Personality. Sophia builds her business identity around her real values, such as healthy living, quality and fair treatment of customers. This makes the business identity genuine.
- Distinctiveness. Sophia gives her business a unique name and produces pure natural fruit juice. This helps customers identify her business from other juice businesses.
- Visibility. Sophia uses social media to make her business known. She needs to promote the business regularly so that more people see and remember its name and products.
- Unity. Sophia makes sure that her business name, products, customer care and messages show the same values. This gives the business a clear and consistent identity.
- Persistence. Sophia continues producing quality juice and promoting the business even when sales are low. Continued effort helps more people know the business over time.
- Goodwill. Sophia treats all customers fairly and provides quality juice. This creates a good image and builds trust, encouraging customers to return and recommend the business to others.

b) Population factors (demographic factors) that will influence her decision

- **Population size and growth rate.** Sophia lives in an area with many residents and nearby workplaces. This gives her a large number of potential customers for her fruit juice and provides room for the business to grow.
- **Level of education and experience.** Many people around Sophia are young professionals who understand issues about healthy living. They are therefore more likely to appreciate pure natural fruit juice instead of drinks with artificial ingredients.
- **Income levels.** People in the area earn different amounts of money. Some can afford juice regularly, while others have limited income. Sophia needs to set prices that match the purchasing ability of different customers.
- **Age structure.** The area has many young adults and working people. Since they have busy lifestyles, they are likely to prefer convenient drinks that they can take to work or buy on their way home.
- **Gender differences.** Both men and women live and work in the area. Sophia does not restrict her juice to one gender, giving her an opportunity to serve a wider market.
- **Family size.** Some customers have small families while others have larger families. Customers with larger families may buy several bottles or packs of juice for their household, increasing demand for Sophia's products.

Item 4

a) The participation of Muzuuri, his wife and children will affect the well-being of their household in the following ways:

- Increased productivity. Muzuuri and his family members work together to produce bread, cakes, buns, doughnuts and samosas. This increases the amount produced and helps the business meet customer demand.
- Increased income. Family members help in production and selling, reducing the need to hire many workers. This lowers labour costs and allows the family to earn more income from the business.
- Acquiring skills. Family members gain skills in baking, packaging, marketing and selling confectionery products. These skills help the business to operate successfully in the future.

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- Easy decision-making. Muzuuri and his family members communicate easily about the business because they understand its objectives. This helps them make decisions about production, prices and sales.
- Maintaining confidentiality. Family members can keep information such as recipes, suppliers, profits and business plans confidential. This protects the business from competitors.
- Reduction of operating costs. Muzuuri's wife and children may accept reasonable family arrangements instead of demanding wages similar to outside workers. This helps reduce labour costs and increase profits.
- Business continuity. Muzuuri's children learn how to manage the confectionery business. They can continue running it in the future, keeping it as a source of income for the family.
- Easy access to capital. Muzuuri and his family members can contribute their savings to buy ingredients such as flour, eggs, cooking oil and packaging materials. This supports continued production and business expansion.
- Emotional support. Family members encourage and support one another when the business faces challenges such as increased prices of ingredients or low sales. This helps them remain committed to the business.
- Providing goods and services. The family business provides bread, cakes, buns, doughnuts and samosas to customers. This helps meet the needs of people in Mukono Town.
- Contributing to government revenue. The business contributes to government revenue through payment of applicable taxes, licences and other fees. This supports the provision of public services.
- Improving household welfare. Income earned from the business helps the family meet needs such as food, education, clothing, health care and housing.

b) **Strategies for advocacy to promote women's voice and rights**

- **Advocating for gender equality policies.** Muzuuri and local leaders can support policies that promote women's safety, equal employment opportunities and equal participation in economic activities.
- **Conducting community sensitisation meetings.** Local leaders in Mukono Town can organise meetings with husbands, families and community members to explain the importance of women working and earning income.
- **Educating women about their rights.** Female employees can be taught about their rights to work, earn income and participate in business activities without unfair restrictions.
- **Engaging husbands and community leaders.** Muzuuri can involve husbands, religious leaders and other community leaders in discussions that encourage families to support women's participation in income-generating activities.
- **Establishing women's support groups.** Affected female employees can form groups where they share experiences, support one another and discuss ways of dealing with challenges that prevent them from working.
- **Providing legal awareness.** Female employees can be informed about laws and institutions that protect their rights and where they can seek help when their rights are violated.
- **Providing counselling and mediation.** Muzuuri can encourage peaceful discussions between affected female employees and their husbands when disagreements arise over women's participation in the business.
- **Creating safe reporting mechanisms.** The business can provide a confidential way for female employees to report intimidation, threats or other problems affecting their ability to work.

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- **Partnering with women's rights organisations.** Muzuuri can work with women's organisations, legal aid providers and government agencies to provide information, support and protection to affected women.
- **Reducing barriers to starting businesses.** Local authorities can simplify registration and licensing procedures to make it easier for women to start and operate their own businesses.

Item 5

a) The following are the ways Makanga and his wife can minimize family-related issues in the business:

- Developing clear rules and regulations. Muzuuri and his family should agree on rules showing how the confectionery will be managed, how decisions will be made and how family members should behave.
- Defining roles and responsibilities. Muzuuri should give each family member clear duties such as baking, purchasing, sales, finance or marketing. This reduces confusion and duplication of work.
- Establishing a clear decision-making system. The family should agree on who makes different business decisions. This reduces disagreements and delays in running the business.
- Agreeing on profit-sharing arrangements. The family should agree on how profits will be shared and how much will be kept in the business for buying equipment, ingredients and expansion.
- Preparing a succession plan. Muzuuri should identify and prepare one or more of his children to take over the confectionery business in the future. This helps the business continue across generations.
- Holding regular family business meetings. Muzuuri and his family should meet regularly to discuss sales, expenses, challenges and future plans. This helps them solve disagreements early.
- Providing management training. Family members should receive training in areas such as financial management, record keeping, marketing, customer care and leadership. This improves the way the business is managed.
- Separating family matters from business matters. Muzuuri should keep household disagreements separate from business decisions. This helps family members make fair business decisions.
- Using democratic decision-making. Muzuuri should allow family members involved in the business to give their views before important decisions are made. This promotes cooperation and acceptance of decisions.
- Creating a family business constitution. The family can prepare a written document showing family values, who can work in the business, how profits are handled and how conflicts are solved.
- Introducing professional management and innovation. Muzuuri can introduce new confectionery products, modern baking equipment, attractive packaging and digital marketing. This can improve efficiency and help the business compete.

b) **Environmental Protection Measures for the Bakery**

The bakery can take the following measures to reduce the negative effects of its activities on the environment:

- Using improved ovens. The bakery can replace firewood ovens with energy-efficient ovens that produce less smoke. This reduces air pollution around the bakery.

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- Using cleaner sources of energy. The bakery can use electricity or LPG where affordable instead of depending heavily on firewood. This reduces smoke and the cutting down of trees.
- Installing a chimney or smoke-control system. A suitable chimney can direct smoke away from nearby homes and workplaces. This reduces the effect of smoke on people in the area.
- Using dry firewood. Where firewood is used, the bakery can use dry firewood because it produces less smoke than wet firewood.
- Planting trees. The bakery can plant trees around its premises and in the community. This helps improve air quality and replaces some of the trees used for firewood.
- Reducing the use of polythene packaging. The bakery can use paper or biodegradable packaging instead of excessive polythene. This reduces plastic waste.
- Encouraging customers to reuse packaging. Customers can be encouraged to reuse suitable containers and bags. This helps reduce the amount of waste produced.
- Providing waste collection bins. The bakery can place bins around the premises for collecting waste such as food remains, paper and packaging materials. This keeps the area clean.
- Separating waste. The bakery can separate organic waste, recyclable materials and non-recyclable waste. This makes recycling and proper disposal easier.
- Providing protective equipment to workers. Workers can be provided with gloves, masks, boots and other protective equipment. This protects them from injuries, dust, heat and other workplace hazards.
- Using silencers on noisy machines. The bakery can fit silencers or use machines that produce less noise. This reduces noise pollution and protects workers and nearby residents.

Item 6

a) Contributions of Super Quality Goats Limited to the Community and Uganda

- Creating employment opportunities. Super Quality Goats Limited provides jobs to people in Kyarusozi Parish, such as herdsmen, veterinary workers, farm managers, milkers and manure collectors. This helps people earn income and support their families.
- Generating government revenue. The business pays applicable taxes, licences, market fees and other charges. This provides revenue that government uses to provide public services.
- Supporting research and education. Secondary schools and agricultural institutions in Kyarusozi and neighbouring areas can use the farm for practical learning and research in animal science and livestock management.
- Promoting infrastructure development. The activities of the farm increase demand for roads, water, electricity and communication services. This can support development in Kyarusozi Parish and surrounding areas.
- Earning foreign exchange. If the business exports goats, skins or other products to countries such as Kenya, Rwanda and the United Arab Emirates, it earns foreign currency for Uganda.
- Providing raw materials to industries. Goat skins can be supplied to leather industries for making products such as shoes, bags and belts. This supports other businesses in Uganda.
- Providing food. The farm provides goat meat and milk to people in the community. This contributes to household food supply and nutrition.
- Providing manure to farmers. Goat manure can be supplied to crop farmers in Kyarusozi Parish. Farmers use it to improve soil fertility and increase crop production.

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- Improving social and cultural welfare. Goats can be used during cultural activities such as marriage ceremonies, introductions, funerals and clan meetings. This supports cultural practices in communities where goats are traditionally valued.
- Supporting other businesses. The farm buys goods and services such as animal feeds, veterinary drugs, transport and farm equipment. This creates business opportunities for suppliers and service providers.

b) **Organisations that can support the growth of businesses in Kyarusuzi parish:**

- **Uganda Revenue Authority (URA).** It provides tax education to business owners about their tax rights and obligations. This helps entrepreneurs understand and meet their tax requirements.
- **Uganda Manufacturers Association (UMA).** It connects small manufacturers with larger buyers and provides opportunities for businesses to access wider markets.
- **Uganda Registration Services Bureau (URSB).** It registers business names and companies. This gives businesses a formal identity and helps them operate legally.
- **Uganda Women Entrepreneurs Association Limited (UWEAL).** It supports women entrepreneurs through business training, access to finance, networking and market opportunities.
- **Private Sector Foundation Uganda (PSFU).** It supports private businesses and can link small enterprises to larger markets and business opportunities.
- **Enterprise Uganda.** It provides entrepreneurship training in areas such as bookkeeping, marketing, business planning and business management.
- **Microfinance institutions.** They provide small loans to entrepreneurs who need capital to start or expand businesses. This can help young people with limited capital access finance.
- **National Agricultural Advisory Services (NAADS).** It supports agricultural enterprises through agricultural information, inputs and technical guidance where such programmes are available.
- **Uganda National Bureau of Standards (UNBS).** It helps businesses meet product quality and safety standards. This is important for the Youth Association when producing useful products from plastic waste.
- **National Agricultural Research Organisation (NARO).** It provides agricultural research, improved technologies and technical information that can help farmers and agribusinesses improve production.
- **National Water and Sewerage Corporation (NWSC).** It provides water services needed by businesses that require clean and reliable water for their operations.
- **Uganda Small Scale Industries Association (USSIA).** It supports small-scale enterprises through capacity building, advocacy and market-access opportunities.
- **Uganda Electricity Distribution Company Limited (UEDCL).** It supports businesses through electricity distribution and connections. Reliable electricity can help businesses operate equipment and machinery.
- **Uganda Police Force.** It provides security and helps protect business owners, workers and business property from crime.
- **Uganda Investment Authority (UIA).** It promotes investment and can connect businesses to investment opportunities, including potential investors and markets.

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Item 7

a) Decision Sarah can make

Sarah should compare the benefits of remaining self-employed with those of taking the clothing-company job before making her decision.

- Personal satisfaction: Self-employment creates satisfaction because Sarah is her own boss and controls and runs her tailoring business independently, while in paid employment she works under the direction of an employer.
- Income potential: Self-employment can provide unlimited income because Sarah's earnings depend on the performance and growth of her business, while in paid employment she receives a fixed salary, which is not the case with her own business.
- Wealth creation: Self-employment enables Sarah to create wealth by earning and reinvesting profits in her tailoring business, while in paid employment she mainly earns a salary and does not own the employer's business.
- Employment creation: Sarah can create employment for other people when she expands her tailoring business, while in paid employment she becomes a worker for another person or organisation.
- Social recognition: Successful self-employment can promote Sarah's recognition and respect in the community because she provides clothing and employment opportunities, while this may not be the case to the same extent when she works as an employee.
- Self-confidence: Running her own successful business can increase Sarah's self-confidence because she makes decisions and solves business problems independently, while in paid employment she performs duties within the organisation's structure.
- Creativity and personal initiative: Self-employment encourages Sarah to be creative by developing new clothing designs and finding better ways of serving customers, while in paid employment her creativity may be guided by the requirements and policies of the company.
- Job security: Sarah cannot dismiss herself from her own business, which gives her greater control over her employment, while in paid employment she can lose her job when the employer terminates her employment.
- Independent decision-making: Self-employment allows Sarah to make quick decisions about prices, designs, suppliers and customers, while in paid employment she may need approval from supervisors before making certain decisions.
- Provision of goods and services: Sarah's tailoring business enables her to provide clothing to people in the community, thereby improving their welfare, while in paid employment she produces goods or provides services on behalf of the clothing company.
- Control of the working situation: Self-employment allows Sarah to control her working hours, duties and performance, while in paid employment her working hours and duties are determined largely by the employer.

Guidance: Sarah should not leave her tailoring business simply because of the new opportunity.

b) Nature of the environment affecting John's business

- Resource scarcity. John has limited access to affordable finance, while electricity and business supplies are sometimes unreliable. These limited resources can make it difficult to increase production.
- Opportunity orientation. John already has customers for his packaged juice and buys fruits from local farmers. The demand in nearby and distant markets provides an opportunity to increase production and expand his market.

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- Uncertainty. John faces changes in market prices, unreliable electricity, delays in obtaining supplies and changing customer preferences. New businesses are also entering the market, making future sales less certain.
- Flexibility. John needs to adjust his business as conditions change. He can improve the reliability of supplies, consider alternative sources of electricity, produce different juice products and use suitable marketing methods to compete with cheaper imported products.

Ways John can improve the business

- Identifying reliable suppliers. John can identify suppliers who consistently provide fruits, packaging materials and other supplies on time. This can reduce delays in obtaining the materials needed for production.
- Signing supply arrangements. John can make agreements with suppliers to supply fruits at agreed prices or under agreed pricing terms. This can help the business reduce the effects of changes in market prices.
- Using an alternative source of power. John can use a generator, solar power or another reliable source of electricity. This can help the business continue production when the main electricity supply is unreliable.
- Acquiring low-interest loans. John can obtain affordable loans from financial institutions to finance increased production and expansion into new markets. This can reduce the financial constraints affecting the business.
- Improving the quality of local products. John can improve the quality, packaging and taste of his locally produced juice. This can encourage customers to choose his products instead of cheaper imported products.
- Introducing new products and sales promotions. John can introduce new juice flavours and use discounts, free samples and other sales promotions. This can help him attract customers and respond to competition from new businesses.

Item 8

a) Analysis of the proposed ventures and recommendation

- **Real demand/market.** The boutique has a clear market because **no other boutique operates in the area,** while people in the trading centre and nearby villages need clothes. Poultry also has potential customers, but many households are already engaged in agriculture, which may mean Amina faces more competition from existing poultry producers.
- **Reasonable return on investment.** The boutique can give Amina a good return because she would be filling an existing gap in the market. Poultry is not chosen because the scenario does not give evidence about its expected profits or the level of competition in egg and broiler production.
- **Required resources.** Amina has **UGX 15,000,000,** which can be used to purchase clothes and meet other boutique start-up costs. Poultry may require additional resources such as poultry houses, feeds and other farm inputs, making the boutique more suitable for the funds available.
- **Required technical skills.** Amina has **limited business experience,** so the boutique is more suitable because it mainly involves purchasing and selling clothes. Poultry is not chosen because successful poultry farming requires skills in feeding, breeding, disease control and bird management.

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- **Acceptability in the community.** The boutique is likely to be acceptable because clothes and textile products are needed by people in the trading centre and nearby villages. Poultry is not rejected on this basis, but the boutique provides a wider opportunity to meet different clothing preferences.
- **Infrastructure and support services.** The boutique can operate from the trading centre where customers from nearby villages can access it. Poultry may require suitable space and reliable supplies for production, which could increase operating challenges.

Recommendation. I would therefore recommend the **boutique** because it has a clear market gap, fits Amina's available capital and requires fewer specialised skills than poultry farming.

b) Steps to determine the viability of the business opportunity

- **Deciding on the type of business.** Amina should confirm that the **boutique** is suitable for her before investing. For example, she can consider whether selling clothes and textile products matches her experience, available capital and the needs of people in the trading centre and nearby villages.
- **Choosing a location.** Amina should select a place where customers can easily access the boutique. For example, she could choose a shop along a busy part of the trading centre where people from nearby villages frequently come to shop.
- **Forecasting sales.** Amina should estimate the quantity and value of clothes she is likely to sell. For example, she could find out how many customers may buy items such as shirts, dresses, trousers and school-related clothing each month.
- **Estimating costs.** Amina should identify all costs involved in operating the boutique. For example, she can estimate the cost of buying stock, transporting clothes, paying rent, advertising and obtaining the required licences.
- **Estimating profits.** Amina should compare expected sales with expected costs to establish whether the business will be profitable. For example, if she expects monthly sales of UGX 4 million and total monthly costs of UGX 3 million, the estimated profit would be UGX 1 million.

SECTION B

Item 9

a) An item taker is required to give insurance policies that can safeguard risks basing on the scenario.

Juma can safeguard the business uncertainties using the following insurance policies:

- Fire insurance policy. Juma should obtain a fire insurance policy to protect the workshop, machines and finished products against loss or damage from fire due to include welding sparks and electrical short circuits.
- Theft and Burglary insurance policy. Juma should obtain a burglary insurance policy to protect the business against loss of cash, machines and finished products through theft. Possible causes include thieves breaking into the workshop at night and inadequate security.
- Fidelity guarantee insurance policy. Juma should obtain a fidelity guarantee insurance policy to protect the business against financial losses resulting from dishonest employees. Possible causes include employees using customers' cash for personal purposes and stealing business money.

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- Worker man's compensation insurance policy. Juma should obtain workers' compensation insurance to protect employees against injuries suffered while performing their duties. Possible causes include machine accidents and failure to use protective equipment.
- Motor vehicle insurance policy. Juma should obtain motor vehicle insurance to protect his delivery trucks against loss or damage from accidents. Possible causes include careless driving and mechanical failure.
- Goods-in-transit insurance policy. Juma should obtain goods-in-transit insurance to protect finished products while they are being transported to distant customers. Possible causes include road accidents and theft during transportation.
- Machinery breakdown insurance policy. Juma should obtain machinery breakdown insurance to protect the business against losses from machine breakdown. Possible causes include poor maintenance and prolonged use of the machines.

b) **An item taker is required to compute rental tax for companies.**
Computation of rental tax
Juma's real estate company earns UGX 100,000,000 annually from rental income. The tax-free allowance is 50% of gross rental income, and the tax rate is 30%.
Gross rental income: UGX 100,000,000

Tax-free allowance: = 50% × 100,000,000 = UGX 50,000,000

Taxable rental income: = 100,000,000 − 50,000,000 = UGX 50,000,000

Rental tax per year: = 30% × 50,000,000 = UGX 15,000,000
Since Juma has not paid rental tax for 3 years:

Total tax due: = 15,000,000 × 3 = UGX 45,000,000
Therefore, Juma should settle UGX 45,000,000 in rental tax for the three years, before adding any applicable penalties and interest for late payment.

Item 10

a) **Contents of the Insurance Policy**
Montana should provide the insurer with information that will enable the insurer to prepare an appropriate insurance policy for her business. The contents should include the following:
- **Name and address of the insured.** Montana should provide her name and the location of the business, which is Montana Mattress Factory, Mbarara Industrial Park.
- **The property insured.** Montana should state the property she wants to insure, including the factory, imported raw materials, machinery, goods in transit, company vehicle and cash carried to Malaba Border.
- **Type of insurance policy.** Montana should state the risks she wants to cover, such as fire insurance for the factory and machinery, marine insurance for goods imported from China, motor vehicle insurance for the company vehicle and money insurance for cash carried to Malaba.
- **Value of property insured.** Montana should provide the value of the factory, machinery, raw materials, goods in transit, vehicle and cash to be covered. This helps the insurer determine the maximum amount payable when a covered loss occurs.

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- **Coverage details.** Montana should specify the losses she wants the insurance to cover, such as fire damage, theft, road accidents and loss or damage to goods while being transported from China through Mombasa to Uganda.
- **Amount of premium payable.** Montana should obtain information on the amount of money she is required to pay to maintain each insurance cover.
- **Period of validity.** Montana should indicate the period for which each insurance policy will remain active, such as 1 January 2026 to 31 December 2026.
- **Terms and conditions for compensation.** Montana should understand the conditions under which the insurer will compensate her when the factory, goods, vehicle or cash suffers a covered loss.
- **Policy exclusions.** Montana should identify situations that the insurer will not cover, such as intentional damage or losses arising from failure to follow agreed safety requirements.
- **Name and address of the insurer.** Montana should have the name and address of the insurance company providing the cover so that she knows where to make claims and obtain insurance services.
- **Insurance policy number.** Montana should receive a unique policy number for each insurance contract. This number is used when making enquiries or submitting claims.

b) Computation of Taxes (Importation of Lorry):

CIF Value

Component	Amount (USD)	Exchange Rate (UGX)	Final Figure (UGX)
Cost of the lorry	3,000	3,650	10,950,000
Marine insurance	200	3,700	740,000
Freight and transport charges	400	3,600	1,440,000
Total CIF value	3,600	—	13,130,000

Import Duty Calculation

Import Duty = Import Duty Rate × Customs Value
= 25% × 13,130,000
Import Duty = UGX 3,282,500

Value Added Tax (VAT) Calculation

VAT = VAT Rate × (Customs Value + Import Duty)
= 18% × (13,130,000 + 3,282,500)
= 18% × 16,412,500
VAT = UGX 2,954,250

Withholding Tax Calculation

Withholding Tax = Withholding Tax Rate × Customs Value
= 6%× 13,130,000
Withholding Tax = UGX 787,800

Infrastructural Levy Calculation

Infrastructural Levy = Infrastructural Levy Rate × Customs Value
= 1.5% × 13,130,000
Infrastructural Levy = UGX 196,950

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Total Tax Payable Calculation
Total Tax Payable = Import Duty + VAT + Withholding Tax + Infrastructural Levy
= 3,282,500 + 2,954,250 + 787,800 + 196,950
Total Amount Payable to Acquire the Lorry = UGX 7,221,500

Item 11

a) **An item taker is required is required to give consequences of non-tax compliance based on the scenario.**
Kirabo may face the following consequences for failing to comply with URA

- Payment of penalties and interest. Since Kirabo has never registered with URA and has not been filing tax returns for the last 2 years, URA will continue charging penalties and interest on the unpaid taxes, increasing the business debt.
- Closure of the business. URA may close kirabo's clothing boutique because of failure to register the business and comply with tax requirements.
- Confiscation of property. As already threatened by URA, business assets and property may be seized to recover unpaid taxes.
- Loss of business reputation. Suppliers and other stakeholders may lose trust in kirabo's business because it is not tax compliant and lacks a tax clearance certificate.
- Failure to access credit facilities. Suppliers are already refusing to offer goods on credit due to lack of a tax clearance certificate, and banks may also deny loans.
- Legal action by URA. kirabo may face court cases and legal penalties for tax evasion and failure to comply with tax laws.
- Disqualification from government tenders. Without a tax clearance certificate, kirabo's business cannot qualify for government contracts and tender opportunities. For example, supply of juice to government offices.
- Poor financial management. Keeping sales records informally in notebooks and paying workers in cash may lead to poor accountability, fraud, and inaccurate financial records. This may Kirabo not to access financial support like bank loans.
- Difficulty attracting investors. Potential investors may avoid investing in Karabo's business because it is not properly registered and does not comply with tax regulations.
- Risk of business failure. Continuous tax penalties, poor record keeping, lack of credit facilities, and legal pressure from URA may eventually lead to collapse of the business kirabo factory juice business.

b) **An item taker is required to give requirements needed for compensation**
Requirements for Compensation. They include
For kirabo to receive compensation for the accident involving her juice distribution van, she should provide the following requirements to support her claim for compensation:

- **Police Letter**. She should provide a police letter confirming that the accident occurred and reporting the insured event.
- **Insurance Policy**. She should present the insurance policy, which is the contract between her and the insurance company showing that the vehicle was insured.
- **National Identity Card** kirabo should provide her National Identity Card to verify her identity as the insured person.
- **Completed Claim Form**. She should fill in and submit the official claim form containing details about the accident and the loss suffered.
- **Assessment Form**. An assessment form completed by the insurance assessor should be provided to show the extent of damage and the compensation required.

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- **Proof of Ownership**. She should provide proof that she owns the van, such as a vehicle logbook, to confirm her insurable interest.
- **Premium Payment Receipts/Cover Note**. She should provide evidence that insurance premiums were paid, such as receipts or a cover note.
- **Proof of Loss or Damage**. She should provide evidence of the loss, such as photographs showing the damage caused by the accident.

Item 12

a) **Principles of Insurance that Aryan may have breached:**

- **Utmost good faith**. Aryan breached this principle by failing to disclose that some of his equipment was old and had previously developed faults before obtaining insurance. He should disclose all material facts that may influence the insurer when deciding whether to provide cover or determining the premium.
- **Insurable interest**. Aryan breached this principle when he insured property belonging to another business without having a financial interest in it. He should insure only property in which he has a financial interest and whose loss would cause him financial damage.
- **Loss minimization**. Aryan breached this principle when, after the fire, he failed to take reasonable steps to protect the remaining stock from further damage. He should have moved the remaining stock to a safe place and taken other reasonable measures to prevent the loss from increasing.
- **Indemnity**. Aryan breached this principle when he demanded more money than the value of the actual loss. He should claim only the amount necessary to compensate for the actual loss suffered and not use insurance to make a profit.
- **Contribution**. Aryan breached this principle when he tried to receive compensation from two insurers for the same loss. He should disclose the existence of other insurance policies and allow the insurers to share the compensation liability where applicable.
- **Subrogation**. Aryan breached this principle when he objected after one insurer paid his claim and wanted to recover the money from the person who caused the fire. He should allow the insurer to recover the amount paid from the person responsible for the loss.
- **Proximate cause**. Aryan should ensure that the actual or dominant cause of the fire is an insured risk under his policy. When making a claim, he should provide truthful information about how the fire occurred so that the insurer can establish whether the loss resulted from an insured risk.

Steps Aryan should follow to obtain suitable protection:

- Identifying the business risks: Aryan should identify the risks affecting his juice-processing business in Kampala, such as fire, theft, equipment damage, vehicle accidents and employee injuries.
- Determining the type of insurance needed: Aryan should choose suitable insurance policies for the identified risks, such as fire insurance, burglary insurance, motor vehicle insurance, machinery insurance and workers' compensation insurance.
- Searching for an insurance company: Aryan should approach licensed insurance companies and compare the services, premiums and policies offered.
- Seeking professional guidance: Aryan should consult an insurance agent or broker for advice on the most suitable insurance covers for his business.
- Filling in an application form: Aryan should complete the insurance application form by providing accurate information about the business and the assets to be insured, including their nature, condition, age and value.

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- Providing the required documents: Aryan should provide documents required by the insurer, such as business registration documents and property valuation reports, where applicable.
- Assessing the business risks: The insurer may inspect Aryan's business premises and equipment to assess the level of risk and determine the appropriate insurance cover and premium.
- Agreeing on terms and conditions: Aryan and the insurer should agree on the premium, amount of cover, compensation limits, risks covered and policy conditions.
- Paying the insurance premium: Aryan should pay the agreed premium according to the payment arrangement, such as monthly, quarterly or annually.
- Receiving the insurance policy document: After completing the agreement and paying the required premium, Aryan should receive the insurance policy document showing the risks covered, terms and conditions of the contract.

b) **Measures Uganda Revenue Authority (URA) could take to address Aryan's concerns and improve taxpayer confidence:**

- Reducing the burden of high tax charges: URA could provide Aryan with clear explanations of how the taxes charged on his juice-processing business in Kampala are calculated and advise him on the legitimate tax reliefs and deductions available to him.
- Ensuring fair treatment of taxpayers: URA could ensure that Aryan and other juice-processing business owners are treated fairly during tax assessment, collection and enforcement without discrimination.
- Providing adequate tax information: URA could provide Aryan with clear information on the taxes applicable to his juice-processing business, filing requirements, payment procedures and tax deadlines.
- Conducting taxpayer education: URA could organise tax education sessions for business owners in Kampala to help Aryan understand his tax obligations and avoid accumulating unpaid taxes.
- Improving customer service: URA could train tax officials to respond promptly and respectfully to Aryan's complaints about tax charges and the treatment he receives.
- Strengthening complaint-handling mechanisms: URA could provide Aryan with simple channels for challenging tax assessments and reporting unfair treatment and ensure that his complaints are handled promptly.
- Simplifying tax procedures: URA could simplify the procedures for filing returns and paying taxes so that Aryan can meet his tax obligations more easily.
- Increasing transparency in tax assessment: URA could clearly explain to Aryan why particular amounts of tax are due and how they are calculated, especially since he complains about high tax charges.
- Improving digital tax services: URA could improve online services that enable Aryan to access tax information, file returns, make payments and check his tax obligations without unnecessary difficulties.
- Providing timely reminders and follow-up: URA could continue giving Aryan timely reminders about outstanding taxes and payment deadlines, while providing guidance on how to settle his accumulated tax obligations.

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Item 13

a) **Justifying the decision to go public**

- Raising additional capital: Koki Stores can raise substantial capital by selling shares to members of the public. This can provide funds needed to open branches in Kigezi Region and increase packing and distribution activities without borrowing.
- Financing business expansion: Going public can provide funds for purchasing packing equipment, delivery vehicles and other assets required as the company expands beyond Mbarara Region.
- Reducing dependence on borrowing: The proprietors are not willing to borrow. Selling shares allows Koki Stores to obtain capital from shareholders instead of depending mainly on bank loans that require repayment with interest.
- Increasing the company's ability to attract investors: Listing on the Uganda Securities Exchange can make it easier for Koki Stores to attract many investors who are willing to buy shares in the company.
- Providing liquidity to shareholders: Once the company's shares are listed, shareholders can have an organised market through which they can buy or sell their shares, subject to the applicable market rules.
- Improving the company's public image: Being listed can increase the visibility and credibility of Koki Stores as it expands its coffee-processing and supply business beyond Mbarara Region.
- Sharing business ownership and risk: Selling shares allows ownership of Koki Stores to be shared among many shareholders. This means the proprietors do not have to provide all the additional capital themselves.
- Facilitating future capital raising: After becoming a public company, Koki Stores can have greater opportunities to raise additional equity capital in future when it needs funds for further expansion.

b) PAYE Computations

Monthly tax liability of Koki Stores Ltd

Cleaners

Chargeable income per employee = Basic Salary + allowances
UGX 200,000 + UGX 30,000 = UGX 230,000
Since UGX 230,000 does not exceed UGX 235,000:
Tax per cleaner = **Nil**
For 4 cleaners = UGX 0
Note: The 4 cleaners' tax liability is Nil. This is because their taxable income is below the threshold of UGX 235,000.

Drivers

Chargeable income per driver: = Basic Salary + allowances
UGX 300,000 + UGX 20,000 = UGX 320,000
Tax per driver: = 10% × (ugx 320,000 – ugx 235,000)
= 10% × ugx 85,000 = **UGX 8,500**

For 2 drivers: = 2 × 8,500 = **UGX 17,000**

Company secretaries

Chargeable income per secretary: = Basic Salary + allowances

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UGX 300,000 + UGX 100,000 = UGX 400,000
Tax per secretary: UGX 10,000 + 20% × (ugx 400,000 – ugx 335,000)
= ugx 10,000 + ugx 13,000 = **UGX 23,000**
For 5 secretaries: = 5 × ugx 23,000 = UGX 115,000

Line managers
Chargeable income per manager = UGX 4,000,000 + UGX 800,000 = UGX 4,800,000
Tax per manager:
UGX 25,000 + 30% × (ugx 4,800,000 – ugx 410,000)
= ugx 25,000 + 30% × ugx 4,390,000
= 25,000 + 1,317,000 = UGX 1,342,000
For 2 managers: = 2 × 1,342,000 = UGX 2,684,000

Chief Executive Officer
Chargeable income:
UGX 12,000,000 + UGX 1,400,000 = UGX 13,400,000
Tax up to UGX 10,000,000:
UGX 25,000 + 30% × (ugx 13,400,000 – ugx 410,000)
= ugx 25,000 + ugx 3,897,000 = UGX 3,992,000

Additional tax on income above UGX 10,000,000:
10% × (ugx 13,400,000 – ugx 10,000,000) = UGX 340,000
Total tax for CEO:
UGX 3,992,000 + UGX 340,000 = UGX 4,262,000
Total monthly tax liability
UGX 0 + UGX 17,000 + UGX 115,000 + UGX 2,684,000 + UGX 4,262,000 = UGX 7,078,000

Conclusion: Koki Ltd's total monthly tax liability to Uganda Revenue Authority sums up to UGX 7,078,000.

Item 14

a) Organisations and intermediaries Mariam could approach. Since Mariam Investments Ltd wants to raise long-term funds through the capital market to finance the opening of branches in other towns, she could interact with the following capital-market organisations and intermediaries:

- **Brokers**: Mariam Investments Ltd could use brokers to connect the company with individuals, companies, pension funds and other institutional investors who may purchase the company's shares or corporate bonds. The brokers would facilitate the buying and selling of these securities on behalf of the investors and earn a commission for their services.
- **Jobbers**: Mariam Investments Ltd could interact with jobbers who buy and sell securities such as shares and bonds using their own funds. They would provide a market where Mariam's securities can be bought and sold, thereby making it easier for investors to trade in the company's securities. They earn from the difference between the buying and selling prices.
- **Investment advisers**: Mariam Investments Ltd could consult investment advisers for guidance on whether to issue shares or bonds, the amount of funds to raise, the expected returns and risks, and suitable investment options. This would help the company select an appropriate way of raising the long-term funds needed to open branches in other towns.

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- **Registrar:** Mariam Investments Ltd could use a registrar to record the names of shareholders, the number of shares owned by each shareholder and any changes in ownership after issuing shares. This would help the company maintain accurate ownership records as it raises funds from investors.

b) Alternative Mariam should consider when registering the rental houses. Mariam owns rental houses in Kyengera, Kyanja and Entebbe. She can either register them in her individual name or under Mariam Investments Ltd. The tax treatment differs under the two alternatives.

Option 1: Register the houses in Mariam's individual name

The three houses earned:

- Kyengera = UGX 250,000,000
- Kyanja = UGX 400,000,000
- Entebbe = UGX 450,000,000

Total rental income = 250,000,000 + 400,000,000 + 450,000,000 = UGX 1,100,000,000
Chargeable rental income = gross rental income – annual threshold
Chargeable rental income = ugx 1,100,000,000 – ugx 2,820,000
Chargeable rental income = ugx 1,097,180,000

Individual rental tax= UGX 1,097,180,000 × 12% = UGX 131,661,600
Therefore, if Mariam registers the houses in her individual name, the rental tax based on the rate provided would be UGX 131,661,600

Option 2: Register the houses under Mariam Investments Ltd

If the houses are registered under the company, the UGX 280,000,000 rental expenses are considered.
Taxable rental income: rental income – allowable expenses
Taxable rental income = UGX 1,100,000,000 – UGX 280,000,000 = UGX 820,000,000
Company rental tax: UGX 820,000,000 × 30% = UGX 246,000,000

Therefore, if the houses are registered under Mariam Investments Ltd, the rental tax would be UGX 246,000,000.

Advice: Based on the figures and tax rates given in the scenario, Mariam should consider registering the houses in her individual name, because the calculated rental tax of UGX 131,661,600 is lower than the UGX 246,000,000 payable when the houses are registered under the company.

c) **VAT on the furniture transaction and corporation tax**

Mariam Investments Ltd bought furniture for UGX 80,000,000 VAT inclusive and later sold it for UGX 120,000,000 VAT inclusive.

i. **VAT paid when the company bought the furniture**

Since UGX 80,000,000 includes VAT:
VAT = UGX 80,000,000 × 18/118 = UGX 12,203,390
Therefore, input VAT = UGX 12,203,390.

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ii. **VAT collected when the company sold the furniture**
The selling price of UGX 120,000,000 is also VAT inclusive.
VAT = UGX 120,000,000 × 18/118 = UGX 18,305,085
Therefore, output VAT = UGX 18,305,085.

iii. **VAT payable by Mariam Investments Ltd**
VAT payable = Output VAT − Input VAT
= UGX 18,305,085 − UGX 12,203,390
= UGX 6,101,695

Thus, Mariam Investments Ltd should account for UGX 6,101,695 VAT payable on the furniture transaction.

iv. **Corporation tax**
The company has a taxable profit of UGX 90,000,000 before corporation tax.
Corporation tax: = UGX 90,000,000 × 30% = UGX 27,000,000
Therefore, Mariam Investments Ltd's corporation tax payable is UGX 27,000,000.

Item 15

a) Process of selling shares by Dimazima Enterprise through the stock market
Since Dimazima Enterprise wants to raise long-term funds to construct modern production facilities, management can sell shares through the stock market. The process would involve the following:

- Finding out the market price of the shares. Dimazima Enterprise should establish the current market price of its shares through a licensed broker, newspapers or information provided by the stock exchange. This enables management to determine a suitable price at which the shares can be offered to investors.
- Contacting a broker/dealer and placing a sell order. Dimazima Enterprise should contact a licensed broker or dealer and instruct them to sell the specified number of shares at the agreed or satisfactory price.
- Execution of the sale on the stock exchange. The broker/dealer places the shares on the stock exchange and sells them to investors on behalf of Dimazima Enterprise.
- Receiving a sale contract note. After the shares have been sold, Dimazima Enterprise receives a sale contract note from the broker showing the number of shares sold, the selling price, charges and the net amount due to the enterprise.
- Receiving payment for the shares sold. After settlement of the transaction, Dimazima Enterprise receives the proceeds from the sale through the broker/dealer, such as by bank transfer.
- Following up on share trading. Management continues to monitor the performance and market price of the enterprise's shares on the stock exchange. This enables Dimazima Enterprise to understand investor response and make future decisions concerning its shares.

b) **Tax payable by Dimazima Enterprise to URA Customs**
Calculate the cost of the sugar
Dimazima Enterprise imported 1,000 bags, with the base price given as UGX 3,500 per bag.

$$USD\ 1{,}000 \times UGX\ 3{,}500 = UGX\ 3{,}500{,}000$$

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Calculate freight and insurance up to Mombasa

Freight from UAE to Mombasa: $= USD\ 500 \times 3{,}700 = UGX\ 1{,}850{,}000$

Insurance: $= USD\ 400 \times 3{,}700 = UGX\ 1{,}480{,}000$

The USD 200 freight from Mombasa to Kampala is excluded, because the scenario states that the freight considered for CIF is only up to Mombasa.

Calculate CIF value

$$CIF = Cost + Insurance + Freight$$
$$= ugx\ 3{,}500{,}000 + ugx\ 1{,}480{,}000 + ugx\ 1{,}850{,}000$$
$$= \boxed{UGX\ 6{,}830{,}000}$$

Import duty

Import duty is **20% of CIF.** $= ugx\ 6{,}830{,}000 \times 20\% = \boxed{UGX\ 1{,}366{,}000}$

Excise duty

Excise duty is **25% of CIF plus import duty.** $= (ugx\ 6{,}830{,}000 + ugx\ 1{,}366{,}000) \times 25\%$

$$= ugx\ 8{,}196{,}000 \times 25\%$$
$$= \boxed{UGX\ 2{,}049{,}000}$$

VAT

VAT is **18% of CIF plus import duty plus excise duty.**

$$= (ugx\ 6{,}830{,}000 + ugx\ 1{,}366{,}000 + ugx\ 2049000) \times 18\% = ugx\ 10{,}245{,}000 \times 18\%$$
$$= \boxed{UGX\ 1{,}844{,}100}$$

Withholding tax

WHT is **6% of CIF.** $= ugx\ 6{,}830{,}000 \times 6\% = \boxed{UGX\ 409{,}800}$

Summary of taxes payable

Tax	Rate	Tax base (UGX)	Tax payable (UGX)
Import duty	20%	6,830,000	1,366,000
Excise duty	25%	8,196,000	2,049,000
VAT	18%	10,245,000	1,844,100
WHT	6%	6,830,000	409,800
Total tax payable			5,668,900

Answer

Therefore, Dimazima Enterprise should pay UGX 5,668,900 in total taxes to URA Customs, based on the tax rates and CIF basis provided in the scenario.

Note: The USD 200 Mombasa–Kampala freight is not included in the CIF, as the question specifically states that the freight considered is up to Mombasa.

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Item 16

a) Investment decision

I would advise **Abby to invest in securities issued by the Central Bank** because they are safer and more suitable for protecting his UGX 30,000,000 savings.

- Safety of investment. Central Bank securities are generally safer because they are backed by the government. DICO shares are less safe because their value depends on how well the company performs.
- Regular income. Central Bank securities can give Abby interest income. On the other hand, DICO may not pay dividends every year if the company does not make enough profit.
- Lower risk. Central Bank securities have lower risk. DICO shares are risky because their prices can go up or down, which may cause Abby to lose money.
- Protection of savings. Abby has worked hard to save UGX 30,000,000. Central Bank securities can help him protect his money, while DICO shares may lose value if the company's share price falls.
- Less dependence on company performance. Abby's investment in Central Bank securities does not depend on DICO Company's profits. If he buys DICO shares, poor performance of the company can reduce both dividends and the value of his shares.

b) Procedure Tuzimbe Construction Company should follow

- Visit the URA web portal. Since Tuzimbe Construction Company earns income from constructing commercial buildings, its directors should visit the URA web portal to begin the process of obtaining a TIN.
- Download the appropriate form. Because Tuzimbe is a company and not an individual, the directors should download the Non-Individual TIN registration form.
- Complete the form. The directors should fill in the required information about Tuzimbe Construction Company, including its business and registration details, without leaving out the mandatory sections.
- Submit the application online. After completing the form, the directors should upload and submit it through the URA web portal for processing.
- Print and sign the form. The directors should print a copy of the completed application and sign it as required.
- Submit the documents to URA. They should take the signed form together with the required attachments to the nearest URA office. This will enable URA to verify the company's information.
- Receive the TIN. After URA approves the application, Tuzimbe will receive an acknowledgment notice confirming its TIN.
- Start declaring its business income. After obtaining the TIN, the company should begin giving URA information about its profits, expenses and income from construction projects, since it had previously provided no such information.
- Pay the taxes due. Finally, the directors should use the company's records to establish the taxes payable and start filing returns and paying the required taxes to URA. This will help Tuzimbe move from having never paid any tax to becoming tax compliant.

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PAPER 2

SECTION A

Item 1

c) Write a report to guide Kato on how he can achieve the planned expansion of Kato Fresh Juice Ltd.

How Kato can double production capacity

- **Purchase a modern processing machine.** Kato should purchase the planned juice-processing machine for UGX 6,000,000. If the current equipment supports 4,000 litres, the new machine should provide capacity for another 4,000 litres. This will raise total production capacity to **8,000 litres**.
- **Increase the supply of fruits.** Kato should make agreements with more farmers to supply mangoes, passion fruits and pineapples. Adding farmers from nearby areas will increase the quantity of fruits available. This will provide enough raw materials to produce the additional 4,000 litres.
- **Recruit more workers.** Kato should employ and train additional workers to operate the new machine and handle increased production. Workers can be assigned to fruit preparation, processing, packaging and quality control. This will enable the additional equipment to be fully utilised.
- **Increase production hours.** Kato should extend operating hours or introduce another production shift. An afternoon or evening shift can be introduced when the existing equipment is not being used. This will allow more juice to be processed and help achieve the 8,000-litre target.
- **Increase working capital.** Kato should reserve part of the available cash to finance increased production. More money will be needed to buy fruits, bottles, packaging materials and pay additional wages. Adequate working capital will prevent shortages that could stop production.
- **Increase packaging materials.** Kato should purchase more bottles, labels and other packaging materials. If 4,000 litres require 4,000 one-litre bottles, producing 8,000 litres will require about 8,000 bottles. This will ensure that all the additional juice can be packaged and sold.
- **Expand the market.** Kato should find additional customers in nearby towns, including supermarkets, schools, restaurants and retail shops. Supply agreements with customers in neighbouring towns will create demand for the extra 4,000 litres produced.
- **Improve transportation and distribution.** Kato should arrange additional transport and distribution outlets to serve the expanded market. Additional delivery vehicles or transport providers can be used to deliver juice to nearby towns. This will enable the increased production to reach customers on time.
- **Maintain the quality of juice.** Kato should strengthen quality control as production increases. He should check the quality of fruits, cleanliness of equipment and packaging before the juice is released to customers. This will help the business increase output without reducing product quality.
- **Monitor the production target.** Kato should compare actual production with the target of 8,000 litres each month. If production falls below the target, he should identify whether the shortage is caused by inadequate fruits, labour, machine time or working capital and take corrective action.

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KATO FRESH JUICE LTD
CASH FLOW STATEMENT
FOR THE MONTHS OF SEPT, OCT AND NOV 2026

Details	September	October	November
	Ugx	Ugx	Ugx
Opening cash balance	15,000,000	28,960,000	37,640,000
Add: CASH INFLOWS			
Sale of Juice	30,000,000	33,000,000	34,650,000
Collection from credit customers	6,000,000	7,000,000	8,000,000
Rent received	–	–	34,000,000
Business loan received	4,000,000	–	–
Total cash inflow	**55,000,000**	**68,960,000**	**114,290,000**
Less: CASH OUTFLOWS			
Purchase of fruits and other Raw materials	15,000,000	16,000,000	17,000,000
Wages		6,500,000	7,000,000
Salaries	6,000,000	4,800,000	4,800,000
Electricity and other expenses	3,000,000	3,000,000	3,000,000
Loan principal repayment	2,000,000	1,000,000	1,000,000
Payment of Loan interest	40,000	20,000	10,000
Purchase of Juice-processing machine	–	–	6,000,000
Total cash outflows	**26,040,000**	**31,320,000**	**38,810,000**
Net cash position	**28,960,000**	**37,640,000**	**75,480,000**

Treatment of the donated building
The UGX 20,000,000 donated building is excluded from the cash-flow statement because the transaction does not involve the receipt or payment of cash. It is a non-cash transaction and should be disclosed separately in the relevant accounting records.

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Item 2

a) **Strategies for overcoming the major challenges faced by Mugisha Bakers Ltd**

- Purchasing high-quality but low-priced raw materials. The bakery should compare suppliers and buy quality flour, sugar, milk and cooking fat at favourable prices. Buying from suppliers with lower prices reduces material costs and increases profit per loaf.
- Buying raw materials in bulk. The bakery should purchase flour, sugar and other frequently used materials in large quantities when prices are favourable. Quantity discounts reduce the average material cost per loaf.
- Negotiating favourable supplier terms. Management should negotiate lower prices, longer credit periods and affordable delivery charges with suppliers. This reduces purchasing costs and improves cash available for production.
- Setting production standards. Management should set standards for ingredients, production time and output per batch. Setting the quantity of flour required for a specific number of loaves prevents excessive use of materials and reduces production costs.

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- Reducing wastage of materials. Workers should measure ingredients accurately and store them properly. Proper storage of flour and sugar prevents spoilage, reduces material losses and lowers the cost per loaf.
- Using modern and efficient technology. The bakery should use efficient equipment such as the planned commercial baking oven. Efficient equipment increases output, reduces energy use and lowers the average cost of producing Raha Bread.
- Training and employing skilled workers. Management should train workers in baking, ingredient handling and machine operation. Proper training in operating the new commercial oven reduces mistakes, rework and wastage.
- Defining duties and supervising workers. Management should assign clear duties and supervise workers during mixing, baking and packaging. Clear responsibilities reduce idleness, duplication of duties and unnecessary labour costs.
- Maintaining bakery equipment. The bakery should regularly clean, service and properly operate its machines. Proper maintenance of the commercial oven reduces breakdowns, repair costs and production interruptions.
- Controlling electricity and overhead costs. The bakery should use electricity efficiently and eliminate unnecessary expenses. Switching off machines when they are not in use reduces electricity and other overhead costs.
- Improving transportation and distribution. The business should plan delivery routes and combine deliveries to customers in nearby areas. This reduces fuel consumption, vehicle running costs and the cost of distributing Raha Bread.
- Controlling labour costs. Management should employ only the workers required and use part-time workers during busy periods. This reduces the wage bill while maintaining the required level of production.
- Improving production planning. Management should match production with expected customer demand. Producing according to orders from supermarkets, schools and other customers reduces overproduction, wastage and storage costs.
- Controlling packaging costs. The bakery should use suitable and affordable packaging materials without compromising product quality. Comparing packaging suppliers and selecting cost-effective bread bags reduces packaging expenses and the overall cost per loaf.

d) Estimate the financial requirements of the business to support its application for the loan facility.

MUGISHA BAKERS LTD
PO BOX 123, Mbarara City, Uganda
TEL: 0782111111
FINANCIAL PLAN

Financial requirement	**Estimated amount (UGX)**
Fixed capital requirements	
Purchase of delivery vehicle	15,000,000
Purchase of commercial baking oven	6,000,000
Total fixed capital requirements	**21,000,000**
Startup/expansion expenses	
Business registration and licensing	1,000,000
Recruitment and training of workers	1,500,000
Market research and promotion	1,000,000

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Installation of utilities	500,000
Total startup/expansion expenses	**4,000,000**
Working capital requirements	
Raw materials	9,000,000
Salaries and wages	6,000,000
Utilities	2,400,000
Transport and distribution	1,800,000
Other operating expenses	1,200,000
Total working capital requirements	**20,400,000**
TOTAL FINANCIAL REQUIREMENTS	**45,400,000**

Financing of the Business

Source of funds	Amount (UGX)	Cost implication
Bank loan received in January	20,000,000	5% monthly interest
Total financing identified	20,000,000	Interest at 5% per month

Expected Sales

Mugisha Bakers Ltd expects cash sales of: January: UGX 24,000,000, February: UGX 27,000,000, March: UGX 30,000,000 Therefore, expected cash sales for the first quarter are: UGX 81,000,000 `The business also expects to collect UGX 21,000,000 from credit customers during the quarter.

Prepared by: _____
Managing Director
Approved by: _____
Name: _____

Cashflow statement

MUGISHA BAKERS LTD
CASH-FLOW BUDGET
FOR THE JAN, FEB AND MARCH 2026

Amounts in UGX

Particulars	January	February	March
	Ugx	Ugx	Ugx
Opening cash balance	8,000,000	24,400,000	35,920,000
Add: Cash inflows			
Cash sales	24,000,000	27,000,000	30,000,000
Collection from credit customers	6,000,000	7,000,000	8,000,000
Bank loan received	20,000,000	–	–
Sale of old equipment	–	3,500,000	–
Total cash available	**58,000,000**	**61,900,000**	73,920,000
Less: Cash outflows			
Production materials	7,200,000	9,000,000	9,000,000
Electricity and utilities	2,400,000	2,280,000	2,166,000

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Particulars	January	February	March
	Ugx	Ugx	Ugx
Salaries and wages	6,000,000	5,700,000	5,415,000
Transport and distribution	1,800,000	1,800,000	1,800,000
Purchase of Delivery vehicle	15,000,000	–	–
Purchase of Baking oven	–	–	3,000,000
Loan principal repayment	–	5,000,000	5,000,000
Loan interest repayment	–	1,000,000	750,000
Other operating expenses	1,200,000	1,200,000	1,200,000
Total cash outflows	33,600,000	25,980,000	28,331,000
Net cash flow	24,400,000	35,920,000	45,589,000

The UGX 600,000 of bakery products taken by the managing director each month is not included as a cash outflow, because no cash leaves the business. It represents a withdrawal/drawing of goods and should be recorded separately in the accounting records.

The UGX 3,000,000 balance on the baking oven is not included in the first-quarter cash outflow because it is payable in April 2026.

Thus, the cash-flow budget provides the bank with evidence of the business's expected cash requirements and its ability to meet its short-term financial obligations while undertaking the planned expansion.

Item 3

a) Strategies for addressing the maize-flour quality challenges

- Purchasing high-quality maize grain. Okello Maize-Milling Enterprise should buy clean, mature and properly dried maize from reliable farmers. This enables Okello Maize-Milling Enterprise to produce clean and consistent maize flour.
- Properly storing maize grain. Okello should keep maize in clean, dry and well-ventilated stores. This prevents moisture, mould and pests, thereby maintaining the quality of maize flour.
- Cleaning and sorting maize before milling. Okello Maize-Milling Enterprise should remove stones, dust, damaged grains and other foreign materials before milling. This produces cleaner and safer maize flour.
- Maintaining milling machinery. Okello should regularly clean, service and repair the milling machine. This prevents contamination and ensures that maize is milled uniformly.
- Standardizing the milling process. Okello Maize-Milling Enterprise should follow consistent procedures for drying, milling, sieving and packaging. This ensures that the flour has a consistent texture, colour and quality.
- Training workers in quality control. Okello should train workers in maize selection, hygiene, machine operation and flour handling. This reduces mistakes and improves the consistency of flour produced by Okello Maize-Milling Enterprise.
- Maintaining hygiene during production. Okello Maize-Milling Enterprise should keep the milling area, equipment and storage facilities clean. This prevents dirt and other contaminants from entering the flour.

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- Using appropriate packaging materials. Okello should use clean, strong and properly sealed packaging materials. This protects the maize flour from moisture and contamination and maintains its quality until it reaches customers.
- Checking flour quality before sale. Okello Maize-Milling Enterprise should inspect the flour for cleanliness, colour, texture and moisture before selling it. This enables poor-quality flour to be identified and removed before reaching customers.
- Obtaining customer feedback. Okello should obtain feedback from households, schools and retail shops about the quality of maize flour. This helps Okello Maize-Milling Enterprise identify weaknesses and make necessary improvements.
- Selecting suitable maize varieties. Okello Maize-Milling Enterprise should select maize varieties that produce flour with the desired taste, colour and texture. This helps the business maintain consistent quality.
- Keeping production and quality records. Okello should record maize suppliers, quantities processed, wastage and customer complaints. These records help Okello Maize-Milling Enterprise identify causes of poor quality and take corrective action.

b) financial statements for Okello's business

OKELLO MAIZE-MILLING ENTERPRISE
INCOME STATEMENT
FOR THE YEAR ENDED 31 DECEMBER 2025

Particulars	Ugx	Ugx	Ugx
Sales		31,000,000	
Less: sales returns		1,000,000	
Net sales			30,000,000
Less: cost of sales			
Opening stock		9,000,000	
Purchases	18,400,000		
Less: purchases returns	400,000		
Net purchases		18,000,000	
Goods available for sale		27,000,000	
Less: closing stock		8,000,000	
Cost of goods sold			19,000,000
Gross profits			11,000,000
Add: other incomes			
Discount received			800,000
Adjusted gross profits			11,800,000
Less: operating expenses			
Salaries and wages		2,300,000	
Insurance		1,300,000	
Total expenses			3,600,000
Net profit for the year			8,200,000

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OKELLO MAIZE-MILLING ENTERPRISE
STATEMENT OF FINANCIAL POSITION
AS AT 31 DECEMBER 2025

Details	Ugx	Ugx	Ugx
Non – current assets			
Furniture		5,800,000	
Machinery		10,000,000	
Total non – current assets			**15,800,000**
Current assets			
Closing stock	8,000,000		
Debtors	2,600,000		
Cash at hand	7,800,000		
Total current assets		**18,400,000**	
Less: Current liabilities			
Creditors	2,200,000		
Total current liabilities		**2,200,000**	
Working capital			**16,200,000**
Capital employed			**32,000,000**
Financed by			
Capital		16,000,000	
Add: net profit		8,200,000	
Less: Drawings		2,000,000	
Owners' equity			**22,200,000**
Add: long term liabilities			
5-year bank loan		8,000,000	
Mortgage		1,800,000	
Total long-term liabilities			9,800,000
Capital employed			**32,000,000**

Item 4

a) Best practices for ensuring the right level of stock

- Forecasting demand. Mbogo Maize Millers should estimate the quantity of maize flour customers are likely to demand before purchasing maize grain. This prevents excessive stock when demand falls and reduces storage costs and losses.
- Setting stock-level limits. Each branch should establish minimum, maximum and reorder levels for maize grain and flour. This ensures that enough stock is available without tying up too much money in inventory.
- Using the re-order level. Kyazanga and Masaka branches should reorder maize when stock reaches the predetermined level. This prevents production interruptions while avoiding unnecessary accumulation of stock.
- Using stock records. Each branch should maintain accurate records of maize received, maize used, flour produced, sales and closing stock. This helps managers know the actual stock available and identify shortages or excesses.
- Applying FIFO. Mbogo Maize Millers should sell or use older maize and flour before newer stock. This reduces deterioration and losses, especially when large quantities are purchased during harvest seasons.
- Properly storing maize grain. The branches should keep maize in clean, dry and well-ventilated stores and protect it from pests. This maintains quality and reduces spoilage.

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- Regular stocktaking. Branch managers should physically count stock regularly and compare it with stock records. This helps identify losses, damage, theft and recording errors early.
- Buying according to production needs. Mbogo Maize Millers should purchase maize based on expected production and sales requirements rather than simply buying large quantities because prices are low. This reduces unnecessary storage and holding costs.
- Monitoring slow-moving stock. Branch managers should identify maize or flour that remains in store for a long period and take action through promotions or adjusted purchasing. This reduces deterioration and tied-up capital.
- Coordinating stock between branches. Kyazanga and Masaka branches should transfer excess stock between them where demand differs. This helps reduce shortages in one branch and excess stock in another.

Need for proper stock management

- To avoid overstocking. Mbogo Maize Millers should control the amount of maize grain purchased during harvest seasons. This prevents excess maize from remaining unsold when demand for maize flour falls.
- To prevent stock-outs. Kyazanga and Masaka branches should maintain adequate stocks of maize grain and flour. This enables the branches to continue supplying households, schools, restaurants and retail shops without interruption.
- To reduce stock deterioration. Mbogo Maize Millers should avoid keeping maize grain and flour in storage for too long. This reduces deterioration and losses that occur when demand falls.
- To reduce storage costs. The branch managers should keep only the quantity of stock required for production and expected sales. This reduces the cost of storing the large quantities of maize bought during harvest seasons.
- To prevent stock losses. Kyazanga and Masaka branches should keep proper stock records and carry out regular stocktaking. This helps management identify damaged, missing or wasted maize early.
- To improve cash flow. Mbogo Maize Millers should avoid tying too much money in unsold maize grain and flour. This leaves more cash available for production and other business activities.
- To maintain product quality. The branches should store maize grain under suitable conditions and use older stock first. This helps ensure that customers receive good-quality maize flour.
- To increase profitability. Mbogo Maize Millers should reduce wastage, deterioration and unnecessary storage expenses. This lowers operating costs and improves the profits of the two branches.
- To support continuous production. The branch managers should maintain sufficient maize grain for milling according to expected demand. This prevents production interruptions caused by inadequate stock.
- To satisfy customer demand. Kyazanga and Masaka branches should maintain stock according to orders and expected sales. This enables the business to supply households, schools, restaurants and retail shops on time

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b) **Financial analysis and advice to the CEO**

The following ratios can be used to assess the financial performance of the two branches.

Details	Kyazanga Branch	Masaka Branch	Comment
Gross profit margin	$= \frac{\text{Gross profit}}{\text{Net sales}} X\ 100$ $= \frac{55,000,000}{100,000,000} X\ 100$ $= 55\%$	$= \frac{\text{Gross profit}}{\text{Net sales}} X\ 100$ $= \frac{108,000,000}{200,000,000} X\ 100$ $= 54\%$	Kyazanga Branch Manager can get the bonus because the branch earns UGX 55 gross profit from every UGX 100 of sales, compared with UGX 54 for Masaka.
Gross profit mark up	$= \frac{\text{Gross profit}}{\text{Cost of sales}} X\ 100$ $= \frac{55,000,000}{45,000,000} X\ 100$ $= 122.2\%$	$= \frac{\text{Gross profit}}{\text{Cost of sales}} X\ 100$ $= \frac{108,000,000}{92,000,000} X\ 100$ $= 117.4\ \%$	Kyazanga Branch has a higher mark-up because it earns UGX 122.22 gross profit for every UGX 100 of cost, compared with UGX 117.39 for Masaka. Therefore, the Kyazanga manager demonstrates better gross-profit generation from the cost incurred.
Net profit margin	$= \frac{\text{Net profit}}{\text{Net sales}} X\ 100$ $= \frac{30,000,000}{100,000,000} X\ 100$ $= 30\%$	$= \frac{\text{Net profit}}{\text{Net sales}} X\ 100$ $= \frac{30,000,000}{200,000,000} X\ 100$ $= 15\%$	Kyazanga Branch Manager can get the bonus because the branch has a 30% net profit margin, compared with 15% for Masaka Branch. This shows that Kyazanga keeps more profit from each shilling of sales.
Inventory turnover	$= \frac{\text{cost of sales}}{\text{Average stock}}$ $= \frac{45,000,000}{15,000,000}$ $= 3\ \text{times}$	$= \frac{\text{Cost of sales}}{\text{Average stock}}$ $= \frac{92,000,000}{30,000,000} X\ 100$ $= 3.07\ \text{times}$	Masaka Branch Manager performs slightly better on this ratio because Masaka sells and replaces its inventory about 3.07 times during the year, compared with 3 times at Kyazanga. However, the difference is very small, so it does not outweigh Kyazanga's stronger profitability.
Current ratio	$= \frac{\text{Current Assets}}{\text{Current liabilities}}$ $= \frac{45,000,000}{24,000,000}$ $= 1.46\ \text{times}$	$= \frac{\text{Current Assets}}{\text{current liabilities}}$ $= \frac{80,000,000}{61,000,000}$ $= 1.31\ \text{times}$	Kyazanga Branch Manager can get the bonus because Kyazanga can pay off its current Liabilities using current assets by 1.46 times compared with 1.31 times at Masaka.

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Return on Assets	$= \frac{\text{Net profit}}{\text{Total assets}} X\ 100$ $= \frac{30,000,000}{95,000,000} X\ 100$ = 31.58%	$= \frac{\text{Net profit}}{\text{Total assets}} X\ 100$ $= \frac{30,000,000}{219,000,000} X\ 100$ = 13.70%	Kyazanga Branch Manager can get the bonus because the branch generates about UGX 31.58 profit for every UGX 100 invested in assets, compared with UGX 13.70 at Masaka. This shows that Kyazanga uses its assets more efficiently to generate profit.

Overall comment

The Kyazanga Branch Manager can receive the performance bonus. Although Masaka performs slightly better in inventory turnover, Kyazanga has a higher gross profit margin, much higher net profit margin, stronger current ratio and much higher return on assets. Most importantly, both branches make UGX 30 million net profit, but Kyazanga achieves this with only UGX 100 million in sales compared with Masaka's UGX 200 million.

SECTION B

Item 5

a) Criteria for getting the required personnel

- The skills required: Sarah should recruit sales assistants with skills in selling, marketing and customer care. A person who knows how to recommend suitable dresses, shirts and trousers can serve customers effectively.
- working experience: She should prefer applicants with experience in fashion sales because they are more likely to understand customers and handle complaints. A person who has previously worked in a boutique in Kampala may require less training.
- the cost of the employee: Sarah should consider the wages she can afford because the boutique's profits have declined. She can recruit competent sales assistants whose wages fit within the business budget.
- The age of the employee: She should recruit people who are legally allowed to work and are mature enough to handle customers and business responsibilities. She should not employ children as sales assistants.
- The nature of the job: Sarah should recruit people with skills related to sales and marketing because they will promote clothes and increase sales. A person trained in marketing can help promote new clothes to university students.
- language ability: She should select employees who can communicate well with university students and professionals. Good communication will help sales assistants explain the quality, size and price of clothes to customers.
- Health condition: Sarah should select employees who are able to perform duties such as serving customers and arranging clothes. The employees should be able to stand and move around the boutique while attending to customers.
- The size of the business: Sarah should recruit only the number of sales assistants the boutique can afford and needs. A small boutique may require only two or three sales assistants to serve its customers effectively.

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b) **Tool for collecting information about customers**

Sarah can use a **questionnaire** to collect information from her current and potential customers.

SARAH FASHION BOUTIQUE
Makerere, Kampala
P.O. Box 24567, Kampala, Uganda
Tel: 0700 123 456

CUSTOMER QUESTIONNAIRE

Dear Customer,

Sarah Fashion Boutique is collecting information to understand customers' clothing preferences and improve the quality of its products and services. Your responses will be kept confidential. Kindly tick (✓) or write the appropriate response.

1. **What is your age group?**
   ☐ Below 18 years ☐ 18–25 years ☐ 26–35 years ☐ Above 35 years
2. **What type of customer are you?**
   ☐ University student ☐ Professional ☐ Other: _____
3. **Which type of clothes do you mainly buy?**
   ☐ Dresses ☐ Shirts ☐ Trousers ☐ Skirts ☐ Jackets ☐ Other: _____
4. **What clothing style do you prefer?**
   .....
5. **What price range do you normally consider when buying clothes?**
   ☐ Below Shs 50,000 ☐ Shs 50,000–100,000 ☐ Shs 100,001–200,000 ☐ Above Shs 200,000
6. **How do you rate the quality of clothes sold at Sarah Fashion Boutique?**
   ☐ Very good ☐ Good ☐ Fair ☐ Poor
7. **How do you rate the prices of clothes at the boutique?**
   ☐ Very affordable ☐ Affordable ☐ Expensive ☐ Very expensive
8. **What factors influence you when choosing clothes?**
   ☐ Price ☐ Quality ☐ Fashion style ☐ Colour ☐ Material ☐ Brand
9. **What complaints do you have about the clothes or services offered by the boutique?**
   .....
   .....
10. **Which clothes or fashion products would you like the boutique to introduce?**
    .....
    .....
11. **How often do you buy clothes from Sarah Fashion Boutique?**
    ☐ Weekly ☐ Monthly ☐ Occasionally ☐ Rarely
12. **What should Sarah do to improve the boutique's products and services?**
    .....
    .....

Thank you for your valuable information.

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Item 6

a) Strategies to address and minimize undesirable employee behaviours

- Ensuring timely and adequate remuneration: Paying workers on time and providing fair wages for the work performed reduces complaints about low pay and discourages employees from resigning. At Muto Electrical Shop, reviewing the wages of sales assistants and paying them on the agreed date can improve their commitment.
- Managing discipline in the business: Establishing and fairly enforcing clear rules on working hours, attendance and customer care promotes discipline and reduces irresponsible behaviour. At Muto Electrical Shop, workers who report late or mistreat customers can be dealt with according to clearly stated workplace rules.
- Rewarding good results: Giving bonuses or recognition to employees who perform well encourages them to work harder and maintain good behaviour. A sales assistant who attracts many customers or achieves high sales can receive a bonus.
- Providing fringe benefits: Providing lunch, leave and other appropriate benefits improves employee welfare and reduces dissatisfaction. Providing lunch at Muto Electrical Shop directly addresses the workers' complaint about having no lunch during long working days.
- Providing job training: Training workers in customer care, sales and handling electronics improves their skills and reduces poor customer service. New sales assistants can be trained to explain the features and proper use of phones, chargers and other accessories.
- Ensuring good working conditions: Providing reasonable working hours, adequate breaks and a pleasant working environment reduces stress and complaints. Muto can introduce proper lunch breaks and avoid keeping workers at the shop for excessively long hours.
- Ensuring job security: Giving hardworking employees reasonable assurance of continued employment reduces fear of losing jobs and encourages them to remain in the business. Workers who perform their duties well can be assured that they will not be dismissed without a valid reason.
- Ensuring open communication: Allowing employees to freely discuss their concerns with management helps resolve problems before they lead to resignation. Mr. Muto can hold regular staff meetings where workers raise concerns about wages, working hours and working conditions.
- Providing promotion opportunities: Promoting hardworking employees to positions with greater responsibility motivates them to improve their performance and remain in the business. A sales assistant who consistently performs well can be promoted to senior sales assistant.
- Involving employees in decision-making: Allowing workers to contribute ideas on matters affecting their work creates a sense of belonging and reduces negative attitudes towards management. Workers can be consulted when setting shop working hours and arranging staff duties.
- Carrying out performance appraisal: Regularly assessing employee performance and giving feedback identifies weaknesses early and encourages workers to improve. Mr. Muto can assess employees based on sales performance, customer care and punctuality.
- Showing concern for workers' problems: Listening to employees' concerns and addressing genuine problems improves employee satisfaction and reduces frequent resignations. When workers complain about long working hours or low wages, Mr. Muto can discuss the issues with them and take appropriate action.

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b) Criteria for choosing suitable means of reaching customers

- The cost of the means: Selecting a promotional method that fits the business budget prevents unnecessary expenditure. Muto Electrical Shop can use WhatsApp status and Facebook posts, which require less money than television advertising.
- The target customers: Choosing a means commonly used by the intended customers increases the possibility of reaching them. Since many customers who buy phones and accessories use social media, WhatsApp, Facebook and TikTok can be useful.
- The geographical coverage: Selecting a means that reaches customers within the intended market increases awareness of the shop. Social media can inform customers in Mukono and neighbouring areas about newly stocked products.
- The nature of the products: The promotional method should allow the business to present the products clearly. Social media allows Muto to post pictures, prices and features of new phones, earphones, chargers and other accessories.
- The effectiveness of the means: Choosing a method that attracts attention and encourages customers to respond improves product awareness. A WhatsApp message showing a newly arrived smartphone, its price and available features can encourage interested customers to visit the shop.
- The availability of the means: Selecting a method that is easily accessible to customers makes communication easier. Since customers commonly use mobile phones, WhatsApp provides a convenient way of informing them about new stock.
- The frequency of use: Choosing a means that allows regular communication helps customers receive continuous information about new products and offers. Muto can regularly update his WhatsApp status whenever new phones or accessories arrive.
- The type of information to be communicated: The selected method should allow Muto to provide important product information such as price, features, availability and warranty. A social media post can combine product photographs with prices and key features.

Item 7

a) Justifying why Hassan should analyse customer and competitors' information before making business decisions

- **To identify changing customer needs:** Analysing customer information shows that students want cheaper modern designs, professionals want durable and well-fitting clothes, while women want modest sportswear.
- **To develop suitable products:** Customer information helps Hassan introduce modern designs for students, durable gym wear for professionals and modest sportswear for women.
- **To set suitable prices:** Analysing customer information helps Hassan set affordable prices for students and higher prices for durable, quality sportswear for professionals.
- **To identify market opportunities.** Customer information reveals women seeking modest sportswear as an underserved market that Hassan can target.
- **To understand competitors.** Analysing competitors shows their products, prices, designs and services, helping Hassan identify areas requiring improvement.
- **To improve product quality.** Competitor information helps Hassan improve durability, sizing and designs to meet customer expectations.
- **To reduce the risk of business decisions.** Reliable customer and competitor information helps Hassan make decisions based on actual market needs rather than assumptions.
- **To improve competitive position.** Studying customers and competitors helps Hassan respond to market changes, retain customers and attract new ones.

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- To support market segmentation. Customer information helps Hassan group customers into students, professionals and women and provide products suited to each group.

b) Critically examining why Hassan ought to follow the business consultants' recommendation
- To create a pool of readily available and adequate replacement personnel: Training several employees to operate the new machines provides workers who can take over when trained operators are absent or leave the enterprise. This prevents production from stopping and reduces delays in supplying customers.
- To enhance the use of advances in technology: Training employees enables them to operate the newly acquired machines effectively. This allows Hassan Sportswear to obtain value from its investment in the machines while reducing production errors and wastage.
- To build an efficient, effective and motivated team: Training improves employees' knowledge, confidence and ability to perform their duties. This creates a more productive workforce that contributes to better-quality sportswear and improved customer satisfaction.
- To develop employees' job knowledge and skills: Employees gain practical skills in operating, adjusting and handling the new machines. This reduces production errors, wastage of materials and poor-quality sportswear.
- To optimise the use of human resources: Training places employees in a better position to use their skills and time effectively. Skilled workers operate the machines efficiently, reducing idle time and unnecessary wastage of resources.
- To develop technical and behavioural skills: Employees acquire technical skills for operating the machines and behavioural skills such as following production procedures, observing safety requirements and working cooperatively. This improves the overall production process.
- To reduce employee turnover: Training gives workers skills and confidence to perform their jobs successfully. Employees who feel capable and valued are more likely to remain with the enterprise, reducing the disruption caused by frequent staff changes.
- To reduce supervision costs: Well-trained employees understand how to operate the machines and handle routine production problems. They require less constant supervision, allowing managers to concentrate on other business activities.
- To increase productivity: Training enables employees to operate the machines correctly and produce more sportswear with fewer errors. This reduces production delays and helps Hassan Sportswear meet customer orders on time.
- To improve workers' morale: Employees who initially struggle with the new machines gain confidence after receiving practical training. This reduces frustration caused by frequent errors and improves their willingness to perform their duties.
- To build positive relationships within the enterprise: Training encourages cooperation between managers and employees because workers receive support in adapting to the new technology. This improves teamwork during production.
- To improve the relationship between the business and employees: Providing training demonstrates that Hassan Sportswear values employee development. This strengthens employees' commitment to the enterprise and creates a more positive working relationship.
- To increase the enterprise's long-term performance: Training enables employees to use the new machines effectively, reduce wastage, improve product quality and minimise customer complaints. These improvements support the long-term growth and sustainability of Hassan Sportswear.

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Item 8

a) Executive summary

BAGISHU FURNITURE LTD
P.O. Box 184, Mbale City, Uganda
Tel: +256 7XX XXX XXX

EXECUTIVE SUMMARY

- Background of the business. BAGISHU FURNITURE LTD is a furniture manufacturing enterprise owned by Kamoddo and operating in Mbale City. It manufactures and supplies furniture to offices, hospitals, households and schools.
- Objectives. To increase sales and profits by 10% with 2 years, establish four branches in nearby districts, create employment and maintain long-term profitability.
- Products and services. The enterprise manufactures office desks and chairs, school desks, hospital beds, cupboards, wardrobes and household furniture. It also provides delivery and installation services.
- Market overview. The enterprise targets offices, hospitals, schools and households. It uses competitive prices, social media advertising, customer referrals, direct marketing and good customer service to attract and retain customers.
- Competitive advantage. BAGISHU FURNITURE LTD operates in a competitive market that includes Mbale Modern Furniture Centre and Nabugoye Furniture Makers. These competitors have strengths such as established customer bases, experienced craftsmen, convenient locations and customised furniture. However, some have weaknesses such as limited product variety or delays on large orders.
- Projected growth. The business plans to establish four branches in nearby districts. This expansion increases the customer base, sales, employment opportunities and profitability of the enterprise.
- Key members. Kamoddo is the Director and works with production workers, sales staff, accountants and branch managers to operate the enterprise.
- Funding requirements. BAGISHU FURNITURE LTD seeks a UGX 50,000,000 loan from MKH Bank to finance branch premises, machinery, raw materials, transport and working capital. The enterprise repays the loan from cash generated by its operations.

b) Approaches BAGISHU FURNITURE LTD Uses to Strengthen Its Competitive Position

- Charging affordable prices. BAGISHU FURNITURE LTD charges competitive prices for products such as school desks and office chairs, helping its four new branches attract customers from established furniture businesses.
- Producing high-quality furniture. The enterprise uses quality timber and skilled craftsmen to produce durable hospital beds, school desks and office furniture, giving customers confidence in its products.
- Ensuring attractive presentation. The new branches neatly display well-finished wardrobes, office desks and chairs, making the furniture attractive to customers visiting the showrooms.
- Providing customer convenience. The branches open early and close late, while customers order furniture by phone and receive it at their premises, making purchasing easier.
- Treating customers respectfully. Sales workers welcome school administrators, hospital managers and household customers politely and respond quickly to their enquiries and complaints.
- Rewarding loyal customers. Regular schools and offices receive discounts or priority service when ordering furniture, encouraging them to continue buying from BAGISHU FURNITURE LTD.

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- Opening more branches. Establishing four branches in nearby districts takes school desks, hospital beds and household furniture closer to customers and increases market coverage.
- Offering credit to trusted customers. Reliable schools and offices receive agreed credit facilities for furniture purchases, encouraging continued business relationships.
- Communicating regularly with customers. The enterprise informs customers about new designs, prices, branch openings and available furniture through phone calls and social media.
- Ensuring proper distribution. BAGISHU FURNITURE LTD delivers school desks, hospital beds and office furniture to customers in the new districts within the agreed time.
- Maintaining customer records. The enterprise keeps records of regular schools, hospitals and offices, enabling staff to recognise these customers and respond to their specific needs.
- Providing after-sales services. The enterprise offers delivery, installation, repairs and warranties for furniture such as hospital beds, office desks and school desks, increasing customer satisfaction.
- Advertising the products. The new branches advertise their furniture through social media, signposts and customer referrals to attract customers in the new locations.
- Motivating employees. The enterprise provides timely wages and favourable working conditions, encouraging employees to provide better service and support the business in competing with established rivals.

Item 9

a) Measures to overcome workforce-related challenges

- Increasing workers' salaries. Bright Future Bakery gives fair salaries to workers. This encourages experienced workers to remain in the bakery and reduces the cost of recruiting new workers.
- Improving working conditions. The bakery provides a safe and comfortable working environment. This makes workers more satisfied with their jobs and reduces their movement to other bakeries.
- Paying workers on time. Workers receive their salaries and other payments on time. This builds trust and encourages them to stay with the bakery.
- Providing fringe benefits. The bakery provides benefits such as meals, transport allowances and medical support where possible. These benefits make workers value their jobs and reduce staff turnover.
- Training and developing workers. The bakery trains workers in bread, cake and doughnut production. This improves their skills and helps the bakery maintain good-quality products.
- Recognising good performance. The bakery rewards workers who perform their duties well. This motivates workers to work harder and remain with the business.
- Providing job security. The bakery gives workers clear employment terms and avoids unnecessary dismissal. This gives workers confidence to remain in the business.
- Promoting workers. Hard-working and experienced workers are given higher positions and more responsibilities. This gives them a reason to build their careers within the bakery.
- Allowing workers to participate in decisions. The bakery listens to workers' views about production and working conditions. This makes workers feel valued and increases their commitment to the business.

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b) **Guidance on the workers' suggestions**

The workers' suggestions can help Bright Future Bakery improve sales because they encourage customers to try, buy and continue buying its products. However, the bakery needs to use the methods carefully so that the cost of promotion does not reduce profits.

- Giving free samples. The bakery gives customers small samples of new bread, cakes or doughnuts. This allows customers to taste the products before buying and can attract new customers.
- Offering discounts. The bakery reduces the price of selected products for a limited period. This encourages customers such as shops and supermarkets to buy more products and can increase sales.
- Giving bonus packs. The bakery gives customers extra products when they buy a certain quantity, such as giving extra doughnuts when a customer buys a specified number. This encourages customers to buy more.
- Rewarding regular customers. The bakery gives discounts, free products or other rewards to regular schools, shops and supermarkets. This encourages them to continue buying from Bright Future Bakery.
- Promoting new products. The bakery informs customers about new bread, cakes and doughnuts through posters, social media and direct communication. This creates awareness and attracts more buyers.
- Practising corporate social responsibility. Bright Future Bakery supports activities in the community, such as donating bread to schools or supporting community events. This creates a good image and can attract more customers.
- Encouraging customer referrals. The bakery encourages satisfied customers to tell other schools, shops and supermarkets about its products. This helps the bakery get new customers at a low advertising cost.
- Providing after-sales services. The bakery responds to customers' complaints and replaces products that are damaged or supplied wrongly. This builds trust and encourages customers to continue buying from the bakery.
- Organising competitions. The bakery organises competitions where customers win prizes such as free cakes, bread or doughnuts. This creates interest in the products and encourages more people to buy from the bakery.
- Rewarding referrals. The bakery gives a small discount or free product to regular customers who bring new customers. This encourages existing customers to promote the bakery to others.

Item 10

a) Measures to attract and retain customers and improve business performance

- Advertising the products. Moses Wholesalers advertises its products through radio, social media, posters and signposts. This makes more customers aware of the products and services offered by the business.
- Giving discounts. The business gives discounts on selected goods, especially when customers buy in large quantities. This attracts customers and encourages them to buy more.
- Offering customer referrals. Moses encourages satisfied customers to tell other retailers about the business. This helps the business get new customers at a low cost.
- Providing after-sales services. The business provides services such as delivery of goods to regular retailers and handling customer complaints. This improves customer satisfaction and encourages repeat purchases.

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- Rewarding regular customers. Moses gives loyal customers discounts, gifts or other benefits. This encourages them to continue buying from the business.
- Communicating with customers. The business regularly informs customers about new products, prices and special offers through phone calls and social media. This keeps customers aware of what the business offers.
- Providing good customer care. Employees welcome customers politely and respond quickly to their needs. Good customer care makes customers satisfied and encourages them to return.
- Practising corporate social responsibility. Moses supports community activities in Arua City, such as supporting local school or community events. This creates a good image for the business and can attract more customers.
- Offering a variety of products. The business stocks different goods needed by retailers. This allows customers to get most of their goods from one wholesaler and reduces the need to buy from competitors.

b) Measures to improve employee motivation, participation and retention

- Recognising employees' efforts. Moses praises and rewards employees who perform their duties well. This makes employees feel valued and encourages them to work harder.
- Involving employees in decision-making. Moses allows employees to give their views before making important business decisions. This makes employees feel valued and increases their commitment to the business.
- Providing job security. Moses avoids sudden termination of employees and follows clear employment procedures. This gives employees confidence to remain in the business.
- Increasing salaries and benefits. The business provides fair salaries and benefits to employees. This motivates workers and reduces their movement to other businesses.
- Providing training. Moses trains employees in customer care, sales and stock management. This improves their skills and helps them perform their duties better.
- Promoting good employees. Hard-working employees are given higher positions and more responsibilities. This encourages employees to remain with the business and develop their careers.
- Improving working conditions. Moses provides a safe and comfortable working environment. Good working conditions increase employee satisfaction and reduce staff turnover.
- Communicating with employees. Moses regularly discusses business performance and workplace issues with employees. This helps solve problems early and builds good relationships between management and workers.
- Providing fair treatment. Moses treats employees fairly when assigning duties, giving rewards and dealing with discipline. Fair treatment improves trust and encourages employees to remain in the business.

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Item 11

a) **General description of Miracle Clinic and Maternity Home**

Business name: MIRACLE CLINIC AND MATERNITY HOME

Address and contact: Soroti City, Uganda. Contact details are provided by the business.

Business location: The clinic is located in Soroti City and mainly serves people from the city and surrounding rural communities.

Vision: To become a leading provider of quality and affordable medical services in Soroti City and surrounding communities.

Mission statement: To provide quality and affordable medical services that meet the health needs of people in the community.

Objectives of the business:

- To improve the quality of medical services offered to patients.
- To upgrade the clinic with modern medical and diagnostic equipment.
- To increase the number of patients served.
- To retain existing patients and attract new patients.
- To expand the range of medical services offered by the clinic.

Services offered: The clinic provides medical treatment, maternity services, diagnosis and other health services to community members.

Customers served by the business: The clinic mainly serves people from Soroti City and surrounding rural communities, including mothers, children and other patients seeking medical care.

What makes the business unique: Miracle Clinic and Maternity Home provides medical and maternity services close to rural communities. It aims to provide quality medical services at affordable prices while giving patients good care.

SWOT analysis

Strengths

- Experienced medical workers.
- Established clinic and maternity home.
- Existing patient base in Soroti City and surrounding rural communities.
- Experience in providing medical and maternity services.

Weaknesses

- Limited modern diagnostic equipment.
- Limited range of modern medical services.
- Reduced number of patient visits.

Opportunities

- Bank loan to upgrade medical equipment and services.
- Increasing demand for quality medical services.
- Opportunity to introduce digital scanning and other diagnostic services.
- Opportunity to serve more people in surrounding rural communities.

Threats

- New corporate diagnostic centres in Soroti City.
- Competitors offering cheaper medical services.
- Competitors using modern digital scanning equipment.
- Patients shifting to competing health facilities.

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b) **Strategies for coping with competition and retaining patients**

- **Improving the quality of medical services.** Miracle upgrades the clinic with modern equipment and improves the skills of medical workers. This gives patients better services and encourages them to continue using the clinic.
- **Introducing digital diagnostic services.** Miracle acquires modern scanning and other diagnostic equipment. This enables patients to receive more services at the clinic instead of moving to the new diagnostic centres.
- **Charging affordable prices.** Miracle sets reasonable prices for medical services. Affordable prices help the clinic compete with the cheaper services offered by the new centres.
- **Providing good patient care.** Medical workers treat patients politely, respond to their needs and reduce unnecessary delays. This improves patient satisfaction and encourages patients to return.
- **Offering convenient services.** Miracle provides services at convenient times and makes it easier for patients from surrounding rural communities to access the clinic. This helps the clinic retain its existing patients.
- **Providing health education.** The clinic organises health talks on issues such as maternal health, child care and disease prevention. This builds a good relationship with the community and keeps the clinic connected to its patients.
- **Advertising the clinic's services.** Miracle uses posters, radio, social media and community announcements to inform people about the clinic's services. This makes more people aware of the improved services.
- **Providing after-service follow-up.** The clinic follows up patients after treatment, especially mothers and newborn babies. This builds trust and encourages patients to continue using the clinic.
- **Rewarding regular patients.** Miracle provides suitable benefits such as discounts on selected services to regular patients. This encourages patients to remain with the clinic.
- **Working with the rural communities.** Miracle works with community leaders, schools and local organisations to create awareness about available medical services. This helps the clinic maintain its connection with the surrounding communities.
- **Introducing referral services.** Miracle encourages satisfied patients to refer other people to the clinic. This helps attract new patients and recover some of the patients lost to competitors.
- **Monitoring competitors.** Miracle regularly checks the services, prices and technology offered by the new diagnostic centres. This helps her identify changes in the market and adjust the clinic's services accordingly.

Item 12

a) A business plan gives Otim a clear roadmap for the future growth of his poultry enterprise. It helps him in the following ways:

- **To prepare adequately.** Otim thinks carefully about increasing poultry production and identifies areas such as feeds, housing, labour and markets that need more attention.
- **To define goals and objectives.** Otim sets clear targets for increasing production, sales and supplying larger markets. These targets act as a basis for measuring the progress of the poultry enterprise.
- **To monitor the business.** Otim compares actual production, sales and income with the targets in the business plan. This helps him know whether the enterprise is growing as planned.

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- **To keep focused.** The plan helps Otim concentrate on both the current operations and future expansion of the poultry enterprise.
- **To provide a timetable for activities.** Otim arranges activities such as increasing the number of birds, buying feeds, improving poultry houses and entering larger markets in a logical order.
- **To help in accessing financial assistance.** Otim uses the business plan to show lenders the amount of money needed, how it will be used and how the poultry enterprise will generate income.
- **To guide employees.** The plan helps workers understand the production targets and their roles in achieving the planned growth of the enterprise.
- **To facilitate decision-making.** The plan shows expected cash inflows and outflows, helping Otim decide how much to spend on birds, feeds, medicines, labour and other activities.
- **To show feasibility and viability.** Otim assesses whether increasing production and supplying larger markets is practical and likely to generate enough income.
- **To help in tax assessment.** The business plan provides information about the activities and expected income of the poultry enterprise, which helps in determining its tax obligations.

b) **Effects of the presence of many rival businesses on Otim's poultry enterprise**

Positive effects

- **Leading to better customer satisfaction.** Competition encourages Otim to provide fresh and quality eggs and poultry products and improve customer service. This helps him attract and retain customers.
- **Promoting increased efficiency.** Competition encourages Otim to use better poultry production methods and control wastage of feeds and other resources. This helps reduce production costs.
- **Leading to better employee remuneration.** Competition may encourage Otim to pay skilled poultry workers better salaries so that they remain in the enterprise and improve production.
- **Leading to production of a variety of products.** Competition encourages Otim to offer different poultry products, such as eggs, broilers and chicks. This gives customers more choices.
- **Making poultry products cheaper.** Competition may encourage Otim to reduce prices where possible. This makes his products more affordable to customers.
- **Promoting hard work.** Competition encourages Otim and his workers to work harder to improve production, sales and customer service.
- **Leading to higher profits.** If Otim develops better products, controls costs and attracts more customers than some rivals, he may increase his sales and profits.
- **Leading to better-quality products.** Competition encourages Otim to improve feeding, disease control, hygiene and general poultry management. This can improve the quality of his poultry products.

Negative effects

- **Making resources more expensive.** Rival poultry farmers may compete for good feeds, quality chicks and skilled workers. This may increase the cost of resources used by Otim.
- **Reducing the number of customers.** The many poultry businesses divide the available customers among themselves. This may reduce Otim's market share and sales.

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- **Leading to business failure.** If Otim fails to compete effectively, he may lose many customers and income, making it difficult to continue operating the enterprise.
- **Lowering profits.** Otim may reduce prices or spend more money on advertising and promotions to compete with rivals. This can reduce the profit earned by the enterprise.
- **Misleading customers.** Some competitors may use exaggerated advertising to attract customers. This may make customers move away from Otim even when his products are of good quality.
- **Increasing labour turnover.** Rival poultry businesses may offer better salaries and working conditions, causing skilled workers to leave Otim's enterprise. This can reduce productivity and increase recruitment and training costs.

END

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